

Simtora Technologies, Inc.

Procurement Policy Manual

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Applies to	All employees, officers, contractors and agents of Simtora Technologies, Inc. ("Simtora" or "the Company") who request, select, negotiate, approve, receive or pay for goods and services from third parties
Related manuals	Finance and Accounting Manual (SIM-FIN-001); International Operations Supplement (SIM-GLB-001, Part 4); IT Policy Manual (SIM-IT-001); Code of Ethics and Compliance Manual (SIM-CMP-001); HR Policy Manual (SIM-HR-001); Global People Supplement (SIM-HR-002); Facilities and Office Administration Manual (SIM-FAC-001)

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Introduction

This Procurement Policy Manual explains how Simtora Technologies, Inc. buys goods and services from third parties. Simtora spends a large share of its revenue outside the Company: on cloud platforms, software, hardware, contractors, agencies, marketing, travel and facilities. How well we buy has a direct effect on cost, security, customer trust and legal risk. This manual sets one clear, proportionate way to buy that protects the Company, treats vendors fairly and is quick for the people who need things.

It applies wherever Simtora buys, including remote employees and every U.S. location. It covers what is bought, from whom, on what terms, and how the choice is documented. It works together with the Finance and Accounting Manual, which sets **who may approve and sign** and how invoices are paid, the IT Policy Manual, which sets security and privacy review, and the Code of Ethics and Compliance Manual, which sets ethics, anti-corruption, conflicts of interest and third-party due diligence.

Our procurement principles

Every rule here follows from eight commitments. Simtora will:

1. **Buy for a real business need.** Purchases are planned, justified and within budget. Nothing is bought only because a vendor asked or because budget is left over.
2. **Compete by default.** The higher the value or risk, the more formal the competition. Exceptions are rare, written down and approved (see 1.5, 3.7).

3. **Treat every bidder fairly.** Every bidder gets the same information, the same deadline and the same criteria. Requirements are written to solve a problem, not to favor a brand or a friend.
4. **Keep our integrity.** People with a personal interest step aside. No gifts during a sourcing. No favors, no kickbacks, no inside information (see 2.1, 2.2 and the Code of Ethics and Compliance Manual).
5. **Pay for value, not just price.** We compare the whole cost over the life of the purchase, including security, support, exit and risk, not only the sticker price (see 2.3).
6. **Know our vendors.** We check who we do business with before we commit: legal standing, sanctions, security, privacy, insurance and ethics, in proportion to risk (see Part 4).
7. **Put it in writing.** Terms, prices and scope are in a contract approved and signed by someone with authority. Nobody commits Simtora by email, chat or click-through (see Part 5).
8. **Make the compliant way the easy way.** Procurement is a partner to the business: templates, preferred vendors, clear timelines and fast answers. Rules are scaled to risk so that a 200

purchase is not treated like a 2 million one.

Risk-based approach

The process in this manual is scaled by **total value** and **risk**. A low-value, low-risk purchase (a \$300 book of training material) needs one approval and no competition. A high-value or high-risk purchase (a cloud platform that will hold customer data) needs competition, security and legal review, senior approval and a formal contract. **Risk can raise the level of review even where value is low:** any purchase involving customer or Restricted data, government customers, or a new supplier in a sanctions-sensitive country gets the review that its risk demands, whatever the amount (see 4.1).

How to use this manual

- **Status of this manual.** This manual sets Company policy on purchasing. It is not a contract of employment. Nothing in it alters at-will employment.
- **Start here.** If you need to buy something, go to 3.1 (which method applies) and Appendix B (approvals and lead times). If you are not sure, ask Procurement (procurement@simtora.example) before you talk to a vendor about price or terms.

- **Changes.** The Head of Procurement may issue interim guidance and update templates between annual reviews, with notice on the Procurement intranet page. Material changes to approval limits, thresholds or control design need CFO approval and, where they affect authority under the Finance and Accounting Manual, CEO approval. The version on the Procurement intranet page is always the current one.
- **Conflicts.** Where this manual conflicts with applicable law, the law governs. Where a customer contract or government contract imposes stricter buying rules on a purchase (see 4.3), the stricter rule applies **in addition to**, not instead of, this manual. State or local law that is stricter than a rule here prevails to the extent of the difference. Where this manual conflicts with another Simtora manual, the Code of Ethics and Compliance Manual prevails on ethics matters, the IT Policy Manual on security and privacy review, the HR Policy Manual on employment matters, the Finance and Accounting Manual on **approval limits, payment and accounting controls**, and this manual on **sourcing method, vendor onboarding and contracting process**. This manual never weakens a Finance approval limit.
- **Supplements.** Teams may add procedures for their own category (for example, Engineering's cloud-cost review), but those may not weaken any control in this manual.
- **Systems.** Where this manual refers to the "procurement system," "contract register," "vendor master" or "e-sourcing tool," it means the tools Procurement designates and lists on the Procurement intranet page. Tools may change; the controls do not.
- **Questions.** Ask your manager first, then Procurement (procurement@simtora.example).

Procurement contacts

Address	Use
procurement@simtora.example	Purchase requests, sourcing help, vendor onboarding, contract renewals, quotes and tenders, bidder questions and complaints
it@simtora.example	Technical questions on standard equipment and the software catalog (IT Helpdesk)
security@simtora.example	Vendor security incidents, suspicious vendor emails and requests to change bank details

Procurement will never ask a vendor or an employee for a password or authentication code, and will never change a vendor's payment details on the strength of an email alone (see the Finance and Accounting Manual, 4.2).

Locations outside the United States

This manual applies to purchases by Simtora Technologies, Inc. and by its subsidiaries in Pakistan, Germany, France, Australia and the United Kingdom. The **International Operations Supplement (SIM-GLB-001), Part 4** covers what changes: the contracting entity, local vendor identification and tax data, local payment-term and late-payment laws (for example, France's 60-day limit), governing law and local mandatory rules, data-transfer terms, contractor classification (IR35 and similar), and imports and customs. **Method bands, quotes, RFP thresholds and approvals apply in U.S. dollar equivalents in every country**, and spend with one supplier is aggregated across all entities.

Roles and responsibilities (summary)

Role	Main responsibilities under this manual
All employees	Do not commit Simtora to a purchase or contract without authority; use the right channel; declare conflicts; protect bid and pricing information; report red flags.
Requesters	Define the need and a budget; submit the purchase request in time; take part in evaluation; confirm receipt of goods and services.
Budget owners and managers	Confirm need and budget; approve within limits; never approve their own purchases or those that benefit them personally.
Department Heads	Accountable for their department's purchases and compliance with this manual; approve within Finance and Accounting Manual 1.2 limits; nominate evaluators.
Contract Owner	The named person who manages a contract through its life: performance, changes, renewals, disputes and closure (see 5.5). Defaults to the requester's Department Head unless another owner is named.
Procurement (Head, category managers, analysts)	Run sourcing above the direct-purchase level; own vendor onboarding, templates, the contract register with Legal, preferred vendors and this manual; challenge specifications; advise on method; report on compliance.
Procurement Review Panel	Reviews large awards, sole-source requests, exceptions and deviations before commitment (see 1.1).
Finance (Controller, AP)	Verify approvals, budget and vendor master data; match, pay and account for purchases; own capitalization and prepaid rules (Finance and Accounting Manual Parts 4 and 7).
Legal (General Counsel and team)	Own contract templates, review and negotiate contracts over \$25,000 and any non-standard terms, sign under authority, and advise on disputes.
Head of IT / CISO and IT Security	

Part 1 – Governance, Scope and Authority

1.1 Procurement Function and Roles

Purpose. To define who does what in Procurement, how it is governed, and where it fits with Finance, Legal, IT and Compliance.

Scope. The Procurement team and everyone who works with it.

Organization

Role	Reports to	Main activities
Head of Procurement	CFO (direct access to the Compliance Officer and the Audit Committee chair on integrity matters)	Owns this manual and the vendor and contract lifecycle; chairs the Procurement Review Panel; sits on the Compliance Committee.
Category managers (Technology and Cloud; Professional Services and People; Marketing, Events and Facilities)	Head of Procurement	Run sourcing, negotiate, manage preferred vendors and framework agreements, and advise budget owners.
Procurement analyst / vendor operations	Head of Procurement	Run onboarding workflow, screening, the contract register and renewal calendar, and reporting.

The Head of Procurement may reorganize these roles as the Company grows. The principle that matters is separation of duties (see 1.3), not job titles.

Procurement Review Panel

- **Members.** Head of Procurement (chair), Controller, a representative of Legal, a representative of Compliance and, for technology or data matters, a representative of the CISO. The requesting Department Head presents the case but does not vote on their own request.
- **Meets** weekly for up to 30 minutes when items are waiting, and decides within **5 business days** of a complete submission. Urgent items may be taken by email vote of three members, recorded in the minutes.
- **Reviews before commitment:** every proposed award above 100,000 *
*; *every sole – source or single – bidder award above * \$25,000*; any departure from the evaluation result; any exception under 1.5; ratification of after-the-fact purchases above **\$25,000** (1.6); and any vendor rated High risk (4.1).
- **Does not replace approval.** The Panel confirms that the process was followed and the risks are managed. The **approvers in Finance and Accounting Manual 1.2** still approve the spend.
- **Records.** Minutes and decisions are kept in the procurement file and reported monthly to the Finance Control Committee.

Responsibilities of the Head of Procurement

- Own this manual, the templates in Appendix A and the vendor lifecycle process.
- Maintain the Preferred Vendor List, the framework agreements, the vendor risk tiers (with Compliance and IT) and the renewal calendar (with Legal, IT and Finance).
- Report to the CFO monthly, to the Compliance Committee quarterly, and to the Audit Committee at least annually on procurement integrity (8.2). Report any suspected fraud, bribery or serious breach of this manual to the CFO and Compliance Officer **within 1 business day**, and to the Audit Committee chair within 24 hours if it involves an officer or may be material.
- Ensure Procurement staff are trained, have backup cover and complete conflict declarations annually.

Continuity and key-person cover

- Every critical activity (vendor onboarding, renewals, the Preferred Vendor List, framework agreements) has a named primary and backup, listed on the Procurement intranet page.
 - When a person in a control role is away for more than 3 business days, their duties are delegated in the procurement system by role. Access credentials are never shared, and a delegate never approves their own transactions.
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1.2 Scope and How Value Is Measured

Purpose. To make clear what this manual covers and how to measure the size of a purchase so that the right method and approvals apply.

Scope. All purchases of goods, software, cloud and other services, works and licenses by or for Simtora, whatever the payment method (purchase order, corporate card, expense claim, invoice) and whoever pays.

Policy

What is covered

- Software, SaaS, cloud, hosting, data and AI services and API usage; hardware and equipment; office and supply purchases.
- Consultants, contractors, professional services, agencies, staffing firms and recruiters.
- Marketing, events, sponsorships, printing, translation and content services.
- Travel providers and services, corporate cards and employee-benefits vendors (where the vendor is selected by Simtora).
- Facilities: leases (sourcing support and vendor checks), build-out, cleaning, security, maintenance and other office services (see 6.6).

What is not covered (these have their own rules, but the approval limits in the Finance and Accounting Manual and the conflict and gift rules in Part 2 still apply):

- Employment contracts and payroll (HR Policy Manual).
- Customer contracts, resale agreements and partner or channel agreements (Sales, Legal and Finance and Accounting Manual Part 3; partner due diligence under Compliance 6.5).

- Taxes and government fees, rent and utilities under an existing lease, insurance premiums under placed policies, bank fees.
- Court, regulatory and settlement payments.
- Acquisitions, investments and financing (Board and Finance and Accounting Manual Part 6).
- Charitable donations and political contributions (Compliance 3.8, Finance and Accounting Manual 4.10).
- Employee expense reimbursements for travel and meals under the expense policy (HR 1.6, Finance and Accounting Manual 4.7 and 4.8). Where the Company selects a vendor for these (for example, the travel platform), this manual applies (6.5).

How value is measured

1. **Total committed value over the whole term**, including all fees, usage minimums, expected overages, implementation, training, support, taxes and expenses, **and every renewal or extension that is automatic or that Simtora can reasonably foresee**. A 3-year subscription of 40,000 *ayearisa* * *120,000** purchase. This is the same measure used in the Finance and Accounting Manual (1.2).
2. **Aggregation**. All purchases of the same or similar goods or services from the **same vendor**, or of the same need from different vendors, that are made or foreseeable in the **next 12 months** are added together. If a need will recur, estimate the year's total.
3. **Do not split**. Splitting a purchase, a contract, an order, an invoice or a payment to stay under a threshold, to avoid competition, or to avoid a higher approver is a violation of this manual and may lead to corrective action (HR Policy Manual 2.3).
4. **Options and optional extensions** that Simtora is likely to use are counted at their full value. Options that are truly unlikely (for example, an emergency-support add-on) are counted if used.
5. **Cancellable contracts**. A contract that Simtora can cancel without penalty on **30 days' notice or less** is measured at its value over 12 months, or its term if shorter.
6. **Usage-based and variable contracts** (cloud, API, per-seat) are measured at the **budgeted or committed annual spend times the term**, plus a 20% allowance for growth. Cloud commitments follow the Finance and Accounting Manual (7.4, 8.4).
7. **Currency**. Values are in U.S. dollars. Foreign-currency purchases are converted at the rate Finance publishes for the month.
8. **Doubt**. If unsure, treat the purchase as the higher band, and ask Procurement.

1.3 Approval Authority and Segregation of Duties

Purpose. To make sure a purchase is approved by the right people, and that no one person can control the whole process.

Scope. Every purchase in scope of 1.2.

Policy

Approval limits. Approval authority is set in the **Finance and Accounting Manual (1.2)** and repeated here for convenience. If there is any difference, the Finance and Accounting Manual governs.

Total committed value	Approval needed to commit
Up to \$5,000	Budget owner (manager)
5, 000.01–25,000	Department Head
25, 000.01–100,000	Department Head and CFO
100, 000.01–500,000	CFO and CEO
Over \$500,000	CEO and the Board (or a Board committee it designates)

The following also apply, whatever the amount:

- **Required reviews first.** Any purchase of software, SaaS, an AI tool, a cloud resource, an integration or a data service needs **IT security and privacy review before commitment, regardless of amount** (IT Policy Manual 2.3). Any new vendor needs **vendor onboarding** before commitment or payment (Part 4).
- **Legal review.** Contracts with a total value above **\$25,000**, and any contract with non-standard terms, are reviewed by Legal before signature (5.1).
- **Approvals in the system.** Approvals are made in the procurement system. Email or chat approvals are not accepted, except in an emergency approved under 3.8 and logged within 1 business day.

- **Budget check.** Approvers confirm that the spend is in the approved budget. Unbudgeted spend needs the approvals above plus the budget-change steps in the Finance and Accounting Manual 8.2.
- **Approve up, not sideways.** An approver must be senior to, or in a different reporting line from, the requester, and must be the accountable owner of the budget being charged.
- **No self-approval.** No one may approve a purchase that pays or benefits themselves, their relatives, or a person or business they have a personal relationship with. Such purchases go to the next level and are disclosed under 2.1.

Separation of duties. These duties are done by different people:

Step	Who	Must not also
Request and define the need	Requester	Approve the award or the payment
Run the sourcing (quotes, RFP)	Procurement or, under \$25,000, the requester with a Procurement template	Approve the purchase above \$5,000
Evaluate offers	Evaluation team (see 3.6)	Have a conflict of interest with any bidder
Approve the purchase	Approvers per the table above	Be the person who ran the sourcing (except purchases up to \$5,000)
Sign the contract	CEO, CFO or General Counsel; Department Heads only within 5.1	Be the same person as the requester, above \$25,000
Create or change the vendor	Procurement and AP	Approve invoices or release payments
Receive goods and services	Business owner	Be the payer or the vendor-master editor
Approve the invoice and release payment	Budget owner and AP (Finance and Accounting Manual 4.3, 4.4)	Have created the vendor or negotiated the deal alone

Four-eyes rule. Every award above **\$25,000** is reviewed by at least two people who were not the requester: the approvers in the table above, and Procurement.

Responsibilities

- **Approvers** are accountable for what they approve. They check need, price, alternatives, budget, risk and support, and do not "rubber-stamp."
- **Procurement and Finance** check that approvals are present and at the right level before a PO is issued or an invoice paid, and return items that lack them.

- **CFO** keeps the Finance and Accounting Manual approval matrix (Appendix B) up to date and reviews the list of authorized approvers and signers each quarter.
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1.4 Procurement Planning and Lead Times

Purpose. To make sure sourcing starts early enough to get a good result, and to avoid urgent purchases that cost more and skip controls.

Scope. All departments that buy above **\$25,000** per year, and any purchase with security, legal or data implications.

Policy

- **Annual procurement plan.** As part of the budget cycle (Finance and Accounting Manual 8.1), each Department Head lists the significant purchases expected in the next year: what, roughly when, estimated value, and whether it is new, a renewal or a replacement. Procurement consolidates the plans in **November** and uses them to schedule sourcing, negotiate volume discounts and plan renewals. Plans are refreshed quarterly.
 - **Lead times.** Sourcing takes time. The typical lead times in Appendix C include security and legal review and assume complete requirements. Requesters should start at least that long before the date the goods or services are needed. A purchase that is urgent only because the request was late is **not** an emergency under 3.8.
 - **Early engagement.** Procurement is asked to help **before** a vendor is chosen or demonstrations are agreed, for any expected purchase above **\$25,000** or with security implications. Do not agree to a proof of concept, trial, letter of intent or "pilot" that commits Simtora to buy, share data, or accept vendor terms before Procurement, IT and (where data is involved) Legal have reviewed it.
 - **Repeat needs.** Where the same goods or services are needed repeatedly (for example, laptops, cloud credits, recruiting agencies, printing, contract engineers), Procurement sets up a framework agreement or Preferred Vendor (3.9, 4.4) so that each purchase is quick.
 - **Demand aggregation.** Procurement may combine purchases across departments to reach a better price. Departments keep budget ownership.
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1.5 Exceptions to This Manual

Purpose. To allow limited, transparent departures where a rule cannot reasonably be met.

Policy

- An exception is **requested in writing** through `procurement@simtora.example` (Appendix A, form A16), stating the rule, the reason, the risk, the compensating controls and the proposed period.
- **Who approves.** The **CFO** approves exceptions to this manual, on the recommendation of the Head of Procurement, and after the Procurement Review Panel has reviewed exceptions to competition. Exceptions involving the CFO or above \$500,000 need the CEO. Exceptions that affect IT security or privacy review also need the **CISO**; exceptions involving contract terms also need **Legal**.
- **What cannot be excepted.** No exception is allowed to the rules on anti-bribery, gifts during a sourcing, conflicts of interest, sanctions and restricted-party screening, forced-labor and prohibited-vendor checks, bank-detail verification, or non-retaliation. Exceptions to the Code of Ethics and Compliance Manual follow that manual (6.7), not this one.
- **Limits.** Each exception has an end date of **no more than 12 months** and is recorded in the exceptions register (shared with Finance and Accounting Manual 1.6), which the Finance Control Committee reviews monthly and the Audit Committee receives quarterly.
- **Emergencies** are handled under 3.8.
- **Competition exceptions** (sole-source and single-bidder awards) follow 3.7, not this section.

1.6 Non-Compliance, After-the-Fact Purchases and Raising Concerns

Purpose. To protect Simtora from unauthorized commitments, and to encourage early reporting without fear.

Scope. Everyone.

Policy

Purchases without prior approval ("after-the-fact")

- A commitment made **before** the required approvals, PO, vendor onboarding or IT review is an after-the-fact purchase. **No one may approve procurement after the fact as a matter of routine.** Nobody has authority to bind Simtora except as set in the Finance and Accounting Manual (1.2) and 5.1.
- Where Simtora has already received goods or services in good faith, it will still pay a fair price. The purchase is then **ratified** through the ratification form (Appendix A, form A17): the requester explains why the process was not followed; the Department Head confirms the business need; and approval is given **one level above** what the value would normally require (approvals above **\$25,000** are reviewed by the Procurement Review Panel).
- Procurement and AP report after-the-fact purchases **monthly** to the Controller (Finance and Accounting Manual 4.1). Purchases over **\$5,000**, or more than **2** by a department in a quarter, are escalated to the Department Head and CFO.
- A first, small, honest lapse is handled with coaching. Repeated or deliberate lapses, splitting, falsifying quotes or approvals, and buying from a related party without disclosure are corrective-action matters (HR Policy Manual 2.3), and may be referred to Compliance.
- The person who commits Simtora without authority may be personally responsible to the vendor in some cases. Employees should tell vendors that only authorized signers can bind the Company.

Reporting concerns

- Anyone who suspects bribery, kickbacks, favoritism, bid rigging, false invoices, undisclosed conflicts or breaches of this manual should tell their manager, Procurement, Compliance, or use the Ethics Line (ethics@simtora.example , anonymous reports accepted). Concerns about accounting or internal control can go to audit@simtora.example .
- Managers pass on a concern within **1 business day**. Reports are handled under the Code of Ethics and Compliance Manual (Part 2), including the timescales for acknowledgement and investigation.

- **No retaliation.** Simtora does not tolerate retaliation against anyone who reports a concern in good faith or cooperates with a review (Code of Ethics and Compliance Manual 2.3, HR Policy Manual 1.7).
- Vendors and bidders may also raise concerns with Procurement or the Ethics Line (see 3.10).

Part 2 – Integrity, Fairness and Value

2.1 Fairness and Conflicts of Interest

Purpose. To make sure vendors are chosen on merit, that every bidder gets an equal chance, and that no one with a personal interest influences a decision.

Scope. Everyone involved in a purchase: requesters, evaluators, approvers, negotiators, Contract Owners, Procurement, Finance and executives.

Policy

Conflicts of interest (see the Code of Ethics and Compliance Manual 3.5)

- A conflict exists where a personal, financial or family interest, or another relationship, could reasonably appear to affect your judgment about a vendor or bidder. Examples: a relative or close friend works for or owns the vendor; you hold a financial interest in the vendor beyond a diversified fund or under 1% of a public company; you have accepted a gift, meal or favor; you are negotiating for a job with the vendor; you serve on the vendor's board or advisory group.
- **Relatives** for this purpose are parents, spouses and partners, children, siblings, grandparents and grandchildren, in-laws, step-relatives and anyone who shares your household.
- **Declare before you act.** Anyone who takes part in a sourcing above **\$5,000** * *signs a conflict – of – interest and confidentiality declaration* * *(Appendix H) for that sourcing : for Bands 2 purchases* * *(5,000.01 to \$25,000)* as an attestation in the purchase request workflow, and for **Bands 3 to 5** as a signed declaration from every evaluator, negotiator and approver before they see any

offer. Procurement staff also disclose interests in vendors in the annual certification (Code of Ethics and Compliance Manual 6.3).

- **Step aside.** A person with a conflict must not take part in selecting, evaluating, negotiating with, approving or paying that vendor. They tell their manager and Compliance in writing, and Procurement names a replacement. Compliance decides within **10 business days** whether the vendor may bid and on what conditions.
- **Late-discovered conflicts.** If a conflict is found after an award, the Contract Owner tells Procurement and Compliance immediately. The award is reviewed and may be suspended, re-run or terminated.
- **Vendors' conflicts.** Vendors confirm in writing, before award, that they have no undisclosed conflict with Simtora employees or officers and that they will not offer gifts. A vendor found to have an undisclosed conflict may be excluded or terminated.
- **Purchases from employees, relatives and affiliates need Compliance approval,** and over **\$10,000** in a year, review by the Audit Committee (Finance and Accounting Manual 4.1; Code of Ethics and Compliance Manual 3.5). They are procured on the same competitive basis as any other purchase, by people who have no relationship with the vendor.

Fair specifications and evaluation

- Requirements must describe what is needed and why, not favor a brand, technology or vendor unless there is a real technical reason. A brand name is followed by "**or equivalent**" unless standardization is documented and approved (for example, an existing platform that must be extended).
- Requirements must be **relevant and proportionate**. For example, the years of experience asked for must fit the complexity of the work.
- **Independence.** A vendor that helped write the requirements or specification (for example, a consultant who helped design a solution) may bid only if the fact is disclosed to all bidders in the request and the vendor has shared with all bidders any information it received. Otherwise it is excluded from that sourcing.
- **Same information for everyone.** Answers to a bidder's question are shared with all bidders (without naming the asker). Deadlines and evaluation criteria are the same for all.
- **Deadlines.** A late offer is not accepted, unless Procurement decides in writing that the lateness was caused by Simtora (for example, a system fault) and that no bidder gains an advantage.

- **No bid shopping.** Procurement never discloses one bidder's price or terms to another, and never uses a fake or "stalking horse" bid.
- **No rigging.** Nobody may agree with a vendor to steer, split or time a sourcing. Anyone who is approached by a bidder or a vendor to fix a price, rig a bid, or share confidential information must refuse and report it to Compliance (Code of Ethics and Compliance Manual 3.6).

Responsibilities

- **Everyone involved:** declare conflicts early, keep sourcing fair, report concerns.
 - **Procurement:** collect declarations, screen for conflicts and hold the records in the procurement file.
 - **Compliance:** decide on conflicts and maintain the related-party list that Finance uses to check vendor data (Finance and Accounting Manual 4.2).
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2.2 Communication, Gifts and Confidentiality During a Sourcing

Purpose. To protect the integrity of a sourcing and the confidentiality of bids and Simtora's plans.

Scope. From the day Simtora first talks to vendors about a purchase until the contract is signed (and, for the confidentiality rules, permanently).

Policy

Single point of contact. Every sourcing above \$25,000 names a **Procurement contact** in the request. Once a request for quotes or proposals is issued, bidders may talk about the sourcing **only with that person**. Employees who are contacted by a bidder refer them to the Procurement contact and do not discuss price, scope, timing or the evaluation. Vendors are told this in the request. Contact about the other, unrelated work a vendor already does for Simtora may continue, but must not touch the sourcing.

Gifts and hospitality

- **No gifts, meals, entertainment, travel or favors** are accepted from any bidder or potential bidder **from the start of a sourcing until the contract is signed**, whatever the amount (Code of Ethics and Compliance Manual 3.4; Finance and Accounting Manual 4.1). Nor may anyone on the evaluation team accept hospitality from a shortlisted vendor until the award is announced.
- Outside a sourcing, the general rules apply: **\$50 per source per year** without approval, no cash or gift cards, and pre-approval for anything above (see Code of Ethics and Compliance Manual 3.4 for the tiers).
- Anything offered during a sourcing is politely declined and reported to Procurement, which records it in the file. The Compliance Officer decides whether the vendor may continue in the sourcing.
- Simtora employees do not offer gifts or hospitality to vendors' staff except at ordinary business meetings within the normal course and the limits in Code of Ethics and Compliance Manual 3.4.
- **Anything of value to a government official** is subject to Compliance pre-approval, whatever the value.

Confidentiality

- **Bids and pricing are confidential.** Offers, prices, proposals, scoring sheets, negotiation positions and evaluation notes are shared only with people who **need to know** to evaluate or approve. They are stored in the procurement file in the e-sourcing tool or the restricted folder, not in shared drives or chat channels open to people outside the sourcing.
- **No disclosure to other bidders, ever.** Information from one bidder is never used to help another. Simtora may share **anonymized** feedback in a debrief (3.10).
- **Sealed until the deadline.** Offers submitted through the e-sourcing tool stay unopened until the deadline. Offers received by email are opened only by Procurement after the deadline; where the tool cannot be used, bidders are told to send password-protected files and to send the password after the deadline.
- **Non-disclosure agreements (NDAs).** Before sharing Confidential or Restricted information with a vendor (for example, architecture, customer data or unreleased product plans), Legal's mutual NDA is signed. Procurement and IT decide what is shared (IT Policy Manual, data classes). Real customer data is never shared in a sourcing.

- **Inside information.** Employees never use non-public information from a sourcing for personal gain, or pass it to anyone outside Simtora. This includes information about competitors' bids, which Simtora does not seek or accept (Code of Ethics and Compliance Manual 3.9, procurement integrity).
 - **Privacy.** Personal data in bids (for example, staff résumés) is handled under the Company's privacy rules (Code of Ethics and Compliance Manual 4.1).
 - **Outside participants.** Only Simtora employees decide on purchases. Consultants, customers, partners or investors may give advice on requirements or check that the process was fair, but they do not score offers or choose the vendor, unless they have specialist knowledge that Simtora lacks and Legal has approved them as evaluators under a confidentiality agreement. A customer may not be involved in scoring for the purpose of gaining its support for the award. Where a customer contract requires a customer to approve a subcontractor, that approval is in addition to Simtora's process (4.3).
-

2.3 Value for Money and Total Cost of Ownership

Purpose. To make sure Simtora gets the best combination of quality, risk and price, not just the lowest price.

Scope. Every purchase, with more detail expected as value rises.

Policy

- **Value for money** means the best result for the whole cost over the life of the purchase, with acceptable risk. A lower price for the same quality, or higher quality for the same price, is better value.
- **Total cost of ownership (TCO).** For any purchase over **\$25,000**, and for any purchase with continuing costs, the requester and Procurement compare offers on total cost over the expected life (normally the contract term or **3 years**, whichever is longer): purchase or subscription price, implementation and integration, training, support and maintenance, usage growth and overage rates, price increases, security and compliance effort, internal staff time where it differs materially between offers, exit and migration costs, and disposal.

- **Minimum requirements first.** Each request sets **minimum requirements** (must-haves), such as security, data protection, integration, support hours and legal terms. Offers that do not meet them are not scored, so that a very cheap offer that does not do the job cannot win.
 - **Price always counts.** Price or total cost is always a factor in an award. Where quality matters, it is scored as part of the overall evaluation (3.6). Where the specification is clear and standard, the lowest compliant offer wins.
 - **Negotiate.** Procurement negotiates price, term, payment, service levels and risk allocation. Ways to improve value include volume and multi-year discounts (weighed against lock-in), bundling, early-payment discounts (Finance and Accounting Manual 4.3), price caps on renewals, most-favored-customer pricing, credits for service-level failures, and shorter minimum terms.
 - **Right-size and reuse.** Check first whether Simtora already owns or has a contract for something that meets the need (the software catalog, existing licenses, a framework agreement, unused seats). IT reclaims unused licenses (inactive over **60 days**; IT Policy Manual 2.3).
 - **Benchmarking.** Procurement uses previous contracts, catalog prices, published rates and market data to test whether a price is fair, particularly for sole-source awards (3.7).
 - **Avoid lock-in without a reason.** Multi-year commitments, prepayments and exclusivity are accepted only where they are worth the price, are within approval limits measured on total value, and preserve data portability and an exit path (5.2, 4.5).
-

2.4 Sustainability and Supplier Inclusion

Purpose. To take environmental and social impacts into account in purchasing, and to give a wide range of qualified businesses a fair chance to compete.

Scope. All purchases, in proportion to their scale and impact.

Policy

Sustainability

- **Reduce the need first.** Ask whether the purchase is needed, whether a smaller or shared solution would do, and whether existing equipment can be reused or

refurbished.

- **Environmental criteria.** For hardware, facilities, data-center and cloud choices, and events, the request may include criteria such as energy efficiency, recycled or refurbished content, repairability, take-back and end-of-life recycling, and vendors' published environmental commitments. These are weighed against cost, quality and risk and are scored in the evaluation where they matter (Code of Ethics and Compliance Manual 5.4).
- **Cloud and data-center vendors.** Procurement asks key vendors about their energy sources and efficiency, and IT tracks cloud usage and cost as a proxy for footprint (Finance and Accounting Manual 8.4).
- **E-waste.** Retired electronics go only to vendors that provide certificates of destruction and recycling under IT Policy Manual 2.4.
- **Human rights and labor.** Supplier standards on human rights, forced and child labor, and safe workplaces apply to all vendors (4.3; Code of Ethics and Compliance Manual 5.5).

Supplier inclusion

- Simtora welcomes offers from qualified businesses of every size and background, including small, women-owned, minority-owned, veteran-owned and other diverse businesses, and local vendors.
 - Procurement reaches out to a range of vendors when building invitation lists, and does not require unnecessary experience, bonding or scale that would exclude smaller vendors.
 - Inclusion is achieved through **outreach, fair terms and reasonable payment**, not by unlawful preferences. Preferences based on a protected characteristic are not used unless a law or a customer or government contract requires a specific program (for example, small-business subcontracting plans; see 4.3).
 - Simtora aims to pay undisputed invoices on agreed terms, including for small vendors (Code of Ethics and Compliance Manual 5.5; Finance and Accounting Manual 4.3).
 - Procurement tracks, on a voluntary and self-reported basis, spend with small and diverse businesses, and reports it annually.
-

Part 3 – The Sourcing Process

3.1 Choosing the Procurement Method

Purpose. To match the amount of competition and review to the size and risk of each purchase.

Scope. Every purchase in scope of 1.2.

Policy

The method is decided by the **total committed value** (1.2), then adjusted for risk. If a framework agreement or Preferred Vendor already covers the need, use it first (3.9, 4.4).

Band	Total committed value	Method	Minimum competition	Who runs it	Approval (Finance and Accounting Manual 1.2)
1	Up to \$5,000	Direct purchase (3.3)	None required, but compare against a known price; use Preferred Vendors	Requester	Budget owner
2	5,000.01–25,000	Quick quotes (3.4)	At least 2 written quotes , or a documented benchmark (catalog price, prior contract, published rate)	Requester with Procurement template; Procurement on request	Department Head
3	25,000.01–100,000	Written quotes (3.4), or a short-form RFP if quality varies	At least 3 written quotes from qualified vendors, or a documented reason for sole-sourcing (3.7)	Procurement, with the requester	Department Head and CFO

4	100,000.01– 500,000	Formal RFP (3.5)	At least 3 invited or open bidders ; evaluation team of at least 3	Procurement	CFO and CEO
5	Over \$500,000	Formal RFP (3.5), open to any qualified bidder	Open or broad invitation (at least 5 invited where the market allows); evaluation team of at least 3	Procurement	CEO and Board (or committee)

Rules that apply across the bands:

- **Risk raises the band.** Any purchase that involves **Restricted data** or customer data, an outsourced core service, a **Critical** or **High** vendor risk tier (4.1), or government work is treated as **one band higher for review** (not for approval level): for example, a \$20,000 data-processing tool gets the process of Band 3, including Legal review and IT security review.
- **Follow the Finance and Accounting Manual.** The thresholds above (**PO above 5,000 **, ** *three quotes above* 25,000, formal RFP above \$100,000 unless the CFO waives it**) are the same as in the Finance and Accounting Manual (4.1). Procurement may set stricter steps but not weaker ones. **RFP waivers** are handled only under 3.7.
- **Cheapest compliant offer or best value.** In Bands 2 and 3, where the specification is clear and quality differences do not matter, the lowest-priced compliant offer is chosen. Where quality, service or risk vary, offers are scored under 3.6.
- **Minimum number of offers.** If fewer than the minimum number of compliant offers are received, Procurement tries again with more vendors (and extends the deadline) or the Procurement Review Panel approves the award as a single-bidder case under 3.7.
- **Repeat purchases.** After a competitive award, repeat purchases and extensions from the same vendor are allowed only within 5.4 and 3.9.

- **Framework use.** Purchases from a framework agreement follow the framework's rules and the approval limits on each call-off (3.9).
 - **Emergency.** Emergency purchases follow 3.8, and are regularized afterward.
 - **Doubt.** If it is not clear which band applies, ask Procurement.
-

3.2 Requirements, Specifications and Statements of Work

Purpose. To make sure vendors know exactly what Simtora needs, so that offers can be compared fairly and the contract can be enforced.

Scope. Every purchase in Bands 2 to 5, and any purchase where scope, deliverables or risk are unclear.

Policy

A written **requirement** is prepared by the requester (Procurement helps) and approved by the Department Head before any vendor is approached in Bands 3 to 5. It states:

1. **Business need and outcome.** The problem, who will use it, the required benefits and success measures.
2. **Scope and deliverables.** What the vendor does and delivers, and what is out of scope. For services, a **statement of work (SOW)** with deliverables, milestones, acceptance criteria, roles, location and assumptions.
3. **Minimum (must-have) requirements and desirable (nice-to-have) requirements,** separately.
4. **Technical, security and privacy requirements,** including data types, integration, availability and support levels, agreed with IT (IT Policy Manual 2.3, 8.1). For software, IT Security's standard questionnaire is included in the request.
5. **Legal and compliance requirements:** insurance, background checks where lawful and relevant, compliance with the Supplier and Partner Standards, data-processing terms, and any customer or government flow-down terms (4.3).
6. **Timeline:** needed by, contract start date and term, and renewal expectations.
7. **Budget:** the budget line and the estimated total committed value. Budget ceilings are stated to bidders **only** where Procurement decides it helps.
8. **Evaluation approach:** criteria and their weights (3.6).

9. Sustainability and inclusion criteria where relevant (2.4).

Requirements must be **neutral, proportionate and testable**. Procurement may send them back if they are unclear, unnecessarily narrow or appear to favor a specific vendor (2.1).

Vendor materials (brochures, pricing) are not copied into the requirements. Where a vendor helped shape the requirements, 2.1 applies.

3.3 Direct Purchases and Card Purchases

Purpose. To keep low-value, low-risk buying fast while still controlled.

Scope. Band 1: purchases with total committed value up to **\$5,000**, with no security, privacy or contract implications beyond standard terms.

Policy

- **Approval.** The budget owner approves before the purchase is made, in the procurement system or, for small card purchases, in the expense workflow. No PO is needed under **\$5,000** on a corporate card (Finance and Accounting Manual 4.1).
- **Who buys.** The requester may buy directly from a vendor, using the corporate or a virtual card where possible (Finance and Accounting Manual 4.6), or through the Preferred Vendor catalog or punch-out site. Use Preferred Vendors and existing framework agreements first.
- **Price check.** Compare the price with at least one other known source, catalog price or previous purchase, and buy the option with the better value. Keep the evidence. For anything approaching **\$5,000**, obtain a second quote.
- **No commitments.** Do not accept a vendor's terms, click "I agree," sign an order form or enter into a subscription, except for the standard terms of a purchase-and-pay transaction that IT and Legal have pre-approved for the vendor (for example, a supplies catalog). **Any software, SaaS, AI tool, browser extension, plugin or integration**, even if free, needs IT approval first (IT Policy Manual 2.3), whatever the amount.
- **Not allowed under this band:** purchases from employees or relatives (2.1), purchases involving a new vendor with access to Company or customer data, recurring subscriptions with terms over 12 months, anything requiring a signed contract, and

any purchase that would take the total with the same vendor over **\$5,000** in 12 months (1.2 aggregation).

- **Card rules.** Cards are used only within the limits and rules in the Finance and Accounting Manual 4.6. Cards must not be used to split a purchase.
 - **Record.** The requester keeps the receipt, the price comparison and the business purpose, and submits them in the expense system within **30 days** (Finance and Accounting Manual 4.6, 4.7).
 - **Review.** Procurement reviews monthly card and expense data for repeated spend with the same vendor, and moves recurring needs to a Preferred Vendor or framework.
-

3.4 Written Quotes

Purpose. To get real price competition for mid-value purchases with a light process.

Scope. Band 2 (at least 2 quotes) and Band 3 (at least 3 quotes), where the requirement is clear.

Policy

Steps

Step	What happens	Who	Timing
1	The purchase request is submitted with requirements, budget and any known vendors.	Requester	Before contacting vendors for price
2	IT security and privacy review is started, if the purchase involves software, data, integration or an AI tool. It runs in parallel and must finish before award.	Requester, IT	Target 5 business days standard, 10 for Restricted data (IT Policy Manual 2.3)
3	Procurement (Band 3) or the requester using the template (Band 2) sends the same written request to at least the minimum number of qualified vendors: scope, quantity, delivery, service levels, contract terms and the deadline. Vendors from the Preferred Vendor List and at least one that Simtora does not usually use are invited where practical.	Procurement / requester	Vendors get at least 3 business days (5 preferred)
4	Vendors answer questions in writing, and the answers go to all.	Procurement	Q&A closes 1 business day before the deadline
5	Quotes are received by email to the Procurement mailbox (or the tool) and opened at the deadline.	Procurement	At the deadline
6	Quotes are compared on the same basis (total cost, per 2.3). Non-compliant quotes are set aside with reasons.	Procurement, requester	2–3 business days
7	The lowest compliant quote wins, unless best value is chosen and reasons		

	support or lower total cost). For Band 3, where quality differs, two evaluators score the quotes per 3.6.	Requester and Procurement	
8	Vendor onboarding (4.1) and contract terms are completed (Part 5).	Procurement, Legal	
9	Approvals are obtained per 1.3 and a PO is issued (7.1).	Approvers, Procurement	

Rules

- **A quote is not a contract.** Quotes are used to choose. The contract is signed under Part 5.
- **A single offer.** If only one quote is received, Procurement first tries to get at least one more; if that fails, the requester may proceed on the basis of a benchmark for Band 2, or use 3.7 for Band 3.
- **Vendor-supplied quotes.** A vendor may not quote on Simtora's behalf to another vendor, and quotes may not be obtained "from a friend" or created by the requester. **Falsifying or fabricating a quote** is treated as fraud (Finance and Accounting Manual 1.5).
- **Negotiation.** After the comparison, Procurement may negotiate with the winning vendor for better terms, and may also invite the top two vendors to improve their offers (3.6). Negotiation does not change the scope.
- **Records.** The quotes, comparison, decision reason, approvals and declarations are kept in the procurement file (8.1).

3.5 Formal Request for Proposal

Purpose. To run a fair, documented competition for high-value or high-risk purchases.

Scope. Band 4 (100, 000.01–500,000) and Band 5 (over \$500,000), and any lower-value purchase where the Head of Procurement decides that a formal RFP is needed because of complexity or risk.

Policy

The RFP process

Stage	What happens	Owner	Timing
1. Plan	Requirements approved (3.2); budget confirmed; evaluation team named; declarations signed (2.1); timeline and vendor list agreed; Procurement Review Panel told of the sourcing (Band 5).	Requester, Procurement	1–2 weeks
2. Issue	Procurement issues the Request for Proposal (RFP) to invited vendors, or publishes it (Band 5 open sourcing). The RFP is in writing and states: background, scope, requirements, the timetable, the Procurement contact , how to submit, the evaluation criteria and weights , terms and conditions, the contract form, security and privacy questionnaires, and the rules in 2.1 and 2.2.	Procurement	Day 0
3. Questions	Vendors send questions in writing to the Procurement contact. Answers go to all bidders. Optional briefing call for all bidders.	Procurement	Q&A closes 3 business days before the deadline
4. Submission	Vendors submit offers through the tool or a specified email. Minimum response time: 10 business days for Band 4 and 15 business days for Band 5 (shorter only with the Head of Procurement's approval and only where the requirement is simple). No late offers (2.1).	Vendors	Deadline

Rules

- **The RFP is the only source of the rules.** Anything not in the RFP or its written amendments cannot be used to reject a bid. Changes to the RFP (scope, dates, criteria) are sent to all bidders in writing, with extra time if the change is material.
 - **No substantial change after submission.** Bidders may not change their offer, scope or price after the deadline, except to correct a clear arithmetic error, to give clarifications requested by Procurement, or in the BAFO round offered to all shortlisted bidders. Scope changes by Simtora that are material require re-issuing the RFP to all bidders.
 - **Minimum number of bidders.** At least 3 compliant offers are sought. If fewer than 2 compliant offers are received in an open RFP, the sourcing is either repeated with a wider invitation or the Panel may treat it as a single-bidder case (3.7).
 - **Open or invited.** Band 5 is open to any qualified bidder, or invited to at least 5 **vendors** where the market has that many. Band 4 is invited to at least 3 **vendors**. The invitation list is approved by the Head of Procurement, and reasons for excluding known qualified vendors are recorded.
 - **Cancellation.** Simtora may cancel or re-scope a sourcing at any time before contract signature, and will tell all bidders. The RFP states that Simtora is not obliged to award, and that bidders bear their own costs.
 - **Confidentiality.** Offers are handled under 2.2.
 - **Contract terms.** The RFP states that the bidder accepts the standard terms or must mark exceptions clearly; exceptions are part of the evaluation.
 - **Waiver of the RFP** for Band 4 and 5 is possible only under 3.7 (CFO, with the Panel's review; over \$500,000 the CEO too).
-

3.6 Evaluation, Scoring and Award

Purpose. To choose the winning offer objectively, consistently and in a way that can be explained and defended.

Scope. Every scored evaluation: RFPs, and Band 3 quotes where quality varies.

Policy

Evaluation team

- **Size.** At least 3 members for Bands 4 and 5, and at least 2 for Band 3. Members come from at least two functions where possible (the requesting team, plus, for example, IT, Finance, Legal or another user team). The requesting Department Head names the requester's evaluators. Procurement runs the process and scores the commercial section but does not score technical fit alone.
- **IT Security** reviews and gives a **pass or fail** on security and privacy (a gate, not a score) for software and data-related purchases.
- **Conflicts.** Members sign declarations before they see any offer (2.1). No one who has a conflict, or who is a candidate to work for a bidder, may serve.
- **External advisers** may advise on technical matters but do not score, except as in 2.2.

Criteria and weights

- **Set and disclosed before the offers are opened.** Criteria and weights are in the RFP and cannot be changed after opening.
- **Gate criteria** (pass or fail): meeting the minimum requirements, passing security and privacy review, vendor onboarding (4.1), acceptance of the essential terms, legal standing and sanctions screening (4.2).
- **Scored criteria** are in the RFP. A typical weighting for a technology purchase is: **price or total cost 30–40%; functional and technical fit 25–35%; delivery approach, implementation and support 15–20%; vendor experience, references and financial stability 10–15%; sustainability and inclusion 0–5%.** The evaluation team may vary the weights for good reason, but **price or total cost counts for at least 20%** of the total unless the specification is fixed, in which case price alone decides among compliant offers.
- **Minimum technical score.** An offer must score at least **60%** of the available technical points to be considered.
- **Scoring scale.** Each criterion is scored **0 to 5** (0 = no response or unacceptable; 1 = poor; 2 = weak; 3 = meets the requirement; 4 = good; 5 = excellent), following the guide in Appendix D.
- **Price scoring.** The lowest total cost gets the full price points; other offers get points in proportion (lowest price divided by the offer's price, times the points available). The formula is stated in the RFP.

Process

1. Each evaluator scores each offer **independently** in writing, with a short comment on each score.
2. The team meets, chaired by Procurement, to **moderate**. Where scores differ by **two points or more**, the evaluators explain and may revise. The final score for each criterion is the agreed score (or the average if there is no consensus, which is recorded).
3. Reference calls, demonstrations, workshops or scripted tests may be added for shortlisted bidders, treated equally and scored against the published criteria.
4. **Clarifications**. Procurement may ask a bidder to clarify a point in writing. Clarifications are shared with the evaluators, and are not used to let a bidder improve its offer.
5. **Ranking and recommendation**. The highest-scoring offer that meets all gates is recommended. Procurement records the scores, comments and reasons in the award recommendation memo.
6. **Ties**. Ties are broken by the higher total-cost score, then the higher technical score. If still tied, the Head of Procurement decides and records the reason.
7. **Departure from the ranking**. The approvers may not award to a lower-ranked bidder without a written reason accepted by the Procurement Review Panel (for example, a gate failure discovered in due diligence, a conflict, or a material risk that was not scoreable).
8. **Final due diligence** on the winner (Part 4) is done before contract signature. If the winner fails, Simtora may go to the next-ranked bidder only if it remains within 90% of the winner's score and the reason is recorded; otherwise the sourcing is repeated.

Negotiation

- Negotiation is led by Procurement with Legal, using the RFP terms as the baseline. The requester may attend but does not make commitments.
 - Negotiation of price, term, payment and risk is allowed with the top-ranked bidder, and, where useful, with the top two or three bidders in a BAFO round. It must not materially change the scope or the terms against which other bidders competed.
 - If negotiation with the preferred bidder fails, Procurement may go to the next-ranked bidder.
 - Any concession that changes the total value beyond the approved limit needs new approvals.
-

3.7 Sole-Source and Single-Bidder Awards

Purpose. To make sure that awards without competition are rare, justified and approved.

Scope. Any purchase above **\$5,000** made without the competition that Band 2 to 5 would require, and any award where competition produced only one compliant bidder.

Policy

Valid reasons. Sole-source is allowed only if one of these applies and is documented:

Reason	Meaning and examples
A. Only one compliant offer	An advertised or invited sourcing, with a fair invitation to enough vendors, produced only one compliant offer.
B. Unforeseeable urgency	Work must start in fewer than 10 business days , competition is impossible, and the urgency was not foreseeable or caused by delay (for example, a security incident needing a specialist, a vendor failure, a legal deadline). Late planning is not urgency (see also 3.8).
C. No real alternative	Only one vendor can provide the goods or services, because of intellectual property, unique technical capability, compatibility with existing systems where changing would cost more than the benefit, or a customer-required vendor. The mere absence of known competitors is not enough: Procurement checks the market and records what it found.
D. Continuity or follow-on	An extension or follow-on to an existing contract that was competitively awarded, where switching would cause unacceptable risk, cost or delay, and 5.4 is met.
E. Standardization	A documented decision to standardize on a platform or vendor (for example, an enterprise cloud provider), taken through IT governance (ITSC) and covering related purchases.
F. Professional relationship	

Not valid reasons: preference, familiarity, a personal relationship, a vendor's "special offer" that expires, avoiding effort, or a budget that must be used before year-end.

Process

Value	Approvals for the sole-source decision
Above 5, 000 <i>upto</i> 25,000	Department Head, with a written justification (Appendix F) and a price benchmark; Procurement is informed.
Above 25, 000 <i>upto</i> 100,000	Department Head and CFO (per Finance and Accounting Manual 4.1), on the sole-source justification, with Procurement's recommendation.
Above 100, 000 <i>upto</i> 500,000	CFO (RFP waiver, Finance and Accounting Manual 4.1) and CEO for the commitment, after review by the Procurement Review Panel .
Above \$500,000	CFO, CEO and the Board (or committee), after review by the Panel.

1. The requester completes the **sole-source justification** (Appendix F): need, reason (from the list), market check, why alternatives are unsuitable, price reasonableness (benchmark, prior contracts), risk, term (kept as short as possible), and how competition will be introduced next time.
2. Procurement reviews it and tests the market (a request for information, or a check of the alternatives).
3. Approvals are given per the table. **Approval must be given before** the vendor is told it has the work.
4. Even without competition, Procurement still ensures that: the vendor is capable (references, financial standing, track record); vendor onboarding, IT security and privacy review are done (Part 4); the offer meets the requirements; the **price is fair** (benchmarking against similar goods or services or earlier contracts); and the contract is on Simtora's standard terms where possible.
5. The sole-source is entered in the register. The sole-source terms are for **no more than 12 months** unless the Panel approves longer, and it is reviewed at renewal to see whether competition is now possible.

- **Reporting.** Procurement reports sole-source awards quarterly to the Finance Control Committee and annually to the Audit Committee (8.2). A sole-source share above **10%** of awards above \$25,000, by number, is investigated by the Head of Procurement and the CFO.

3.8 Emergency Purchases

Purpose. To let the Company respond to an urgent threat to people, security or service without waiting for the normal process, while keeping control.

Scope. Purchases needed immediately to protect people or property, to contain or recover from a security incident or service outage, or to meet an unforeseeable legal or customer deadline.

Policy

- **Who may approve.** The **CISO** or a **Department Head** may approve an emergency purchase **verbally or by message**, up to the limit that their role would normally approve (Finance and Accounting Manual 1.2); above 25, 000 * **theCFO's approval is also required, obtained by phone if necessary, and above ** ***100,000** the CEO's.
- **Documentation.** The approver and requester document the reason, the vendor, the amount and the approval in the procurement system **within 1 business day** (Finance and Accounting Manual 4.1). The purchase is then approved in the normal way.
- **Scope of an emergency purchase.** Buy only what is needed to deal with the emergency, for the shortest time and at a fair price. If the need continues, the ongoing purchase is sourced properly (3.1).
- **Onboarding and security.** A vendor is still screened for sanctions and restricted-party status **before payment** (4.2). Data-security review is done as quickly as possible, and no Restricted data goes to a new vendor until IT Security agrees.
- **Contract.** A short written agreement or purchase order is still required. Legal may approve emergency terms verbally, documenting them within 1 business day.
- **Review.** Emergency purchases are reported to Procurement and the Controller monthly, and the Procurement Review Panel reviews any above **\$25,000**. Frequent

emergencies by the same team are treated as a planning failure and reviewed with the Department Head.

- **Not an emergency:** late requests, expiry of a contract that was on the renewal calendar, or the end of a budget period.

3.9 Framework and Call-Off Agreements

Purpose. To set prices, terms and vendors in advance for goods and services that Simtora buys repeatedly, so that individual purchases are quick and cheaper.

Scope. Recurring needs such as hardware, cloud reseller services, contract engineers, recruiting agencies, printing, translation, travel and office supplies.

Policy

- **What it is.** A **framework agreement** (or "master" or "call-off" agreement) is a contract with one or more vendors that sets prices or rate cards, service levels and terms, without a fixed quantity. **Call-offs** are individual purchases made under it.
- **How it is set up.** A framework is sourced through the **method for its total expected value over its whole term** (3.1), using a competitive process. **A framework can never be awarded through a sole-source exception**, except for reason E (standardization) with Panel approval.
- **Term.** Up to **3 years**, extendable to a total of **5 years** if performance is satisfactory and pricing is re-benchmarked. The Head of Procurement reviews pricing annually.
- **Single or multi-vendor.** A single-vendor framework gives the best price and simplicity. A **multi-vendor** framework (at least **3** vendors where the market allows) gives resilience and choice. The RFP states how call-offs will be awarded: direct call-off at the stated rate, rotation, or a **mini-competition**.
- **Call-off rules.** Each call-off is approved by the approvers who would normally approve that value (Finance and Accounting Manual 1.2), needs a PO above **5,000 ***
** , and must stay within the framework's price and terms. For multi – vendor frameworks, call – offs above * *25,000* use a mini-competition among the vendors unless the framework says otherwise or the Head of Procurement approves a direct award with reasons.

- **Aggregate value.** The total spend under a framework counts toward the framework's value. If it will exceed the value for which it was approved, Procurement re-approves the framework at the higher band before the limit is reached.
 - **Amendments.** Framework changes follow 5.4.
 - **Reporting.** Procurement reports spend by framework quarterly (8.2), and Contract Owners monitor performance (4.4).
 - **Use first.** Employees use an existing framework or Preferred Vendor **in preference to** running a separate sourcing (3.1).
-

3.10 Debriefs and Bidder Complaints

Purpose. To treat bidders fairly after a decision and to hear concerns about the process.

Scope. All formal sourcing (Bands 3 to 5) and any sourcing where a bidder asks.

Policy

- **Notification.** Successful and unsuccessful bidders are told the outcome in writing within **5 business days** of the award approval (3.5).
- **Debrief.** An unsuccessful bidder may request a debrief within **10 business days** of the notice. Procurement gives it within **10 business days** of the request. The debrief explains the bidder's own scores against the published criteria and the strengths and weaknesses of its offer, and the winning offer in general terms, **without** disclosing the winner's confidential prices, terms or proprietary information.
- **Complaints.** A bidder or vendor that believes a sourcing was unfair or breached this manual may send a written complaint to `procurement@simtora.example` (or to `ethics@simtora.example` for suspected bribery, favoritism or misconduct). Procurement **acknowledges within 5 business days** and the Head of Procurement, or, where the complaint concerns the Head of Procurement, Compliance, reviews and responds within **20 business days**. The complainant may then ask the Compliance Officer to review.
- **Standstill.** Where a complaint is made before the contract is signed, the Head of Procurement decides whether to pause signature until the complaint is reviewed, considering the urgency and the risk.

- **Outcome.** A well-founded complaint may lead to re-evaluation, a repeat of the sourcing, or other corrective steps. Findings are reported to the Compliance Officer and recorded in the procurement file.
 - **No retaliation** against a bidder that raises a concern in good faith. Their later bids are not disadvantaged.
-

Part 4 – Vendor Onboarding, Due Diligence and Performance

4.1 Vendor Onboarding Workflow

Purpose. To make sure Simtora deals only with real, screened, approved vendors, with checks proportionate to the risk, and to protect against fictitious-vendor and payment-redirection fraud.

Scope. Every supplier, contractor, consultant, agency, landlord, government body and other payee, including one-time payees and vendors chosen by a sourcing. Merchants paid by corporate card for Band 1 purchases that involve no software, data access or contract terms are screened by the card program and are not separately onboarded.

Policy

When. Onboarding is completed **before any commitment or payment**. A vendor that is not fully onboarded is not paid (Finance and Accounting Manual 4.2), except in an emergency under 3.8, where screening for sanctions is still done before payment.

Risk tier. Procurement assigns each vendor an **onboarding tier** by combining the compliance tier (Code of Ethics and Compliance Manual 6.5) and the security tier (IT Policy Manual 8.1). **The higher tier governs.**

Onboarding tier	It applies where the vendor is...	Compliance tier	IT tier
High	Dealing with government officials for Simtora; an agent, reseller or commission-based party; in a sanctions-sensitive country; hosting or processing Restricted data; supplying a service whose outage would stop a Tier 0 system; supplying hardware or software for a government contract	High	Critical
Medium	Handling Confidential data; having privileged access to systems; a consultant or contractor working with customers; supplying above \$100,000 in a year; a staffing agency with access to systems	Medium	High
Low	Having no access to Company or customer data, no customer or government contact, and low value	Low	Standard

Steps and timing

Step	What happens	Who	Target (from complete request)
1. Request	The business owner submits a vendor request in the procurement system with the business purpose, expected annual spend, data involved and the people who will work with the vendor.	Requester	Before contacting the vendor about terms
2. Tier and scope	Procurement assigns the onboarding tier and checklist (Appendix E), with Compliance and IT.	Procurement	

Overall targets (from a complete request): Low **3 business days**; Medium **10 business days**; High **20 business days**. Requesters should start early (Appendix C). Vendors already onboarded at the right tier do not repeat the process for a new purchase, except for a new security review if the data or service changes.

Changes to vendor details (name, address, tax ID, bank account, remittance instructions, contact person) follow the Finance and Accounting Manual (4.2): written request from a known contact, call-back verification, second-person approval and confirmation to the previous contact where possible. **Bank detail changes never take effect on an email alone.** Procurement staff who receive such a request from a vendor **forward it to** `ap@simtora.example` and do not act on it. A vendor request that appears to come from an executive or an employee is treated as suspicious (Finance and Accounting Manual 4.4).

Re-review. High-tier vendors are re-reviewed every **12 months**, Medium every **24 months**, and Low at renewal, and any tier on a trigger (a security incident, a sanctions-list update, a change of ownership, a new service, negative news, a performance failure). Critical vendors' SOC 1 or SOC 2 reports and insurance are checked each year (IT Policy Manual 8.1; Finance and Accounting Manual 4.2).

Vendor master hygiene. Vendors with no activity for **13 months** are deactivated; one-time vendors are not used for repeated purchases; duplicates are merged by the Controller; vendor-master changes are reported monthly to the Controller (Finance and Accounting Manual 4.2).

Responsibilities

- **Business owner:** confirm the vendor is needed, supply complete information, and stay involved through the process.
- **Procurement:** run the workflow, keep the evidence and tier register.
- **Compliance and IT:** screening, risk assessment and approval within their areas.
- **AP and Controller:** tax, payment and vendor-master controls.

4.2 Due Diligence and Screening

Purpose. To confirm, in proportion to risk, that a vendor is who it says it is, is capable and financially sound, and is not a legal, ethical or security risk.

Scope. All vendors, with more checks for higher tiers and higher-value purchases.

Policy

Checks

Check	Low	Medium	High	Notes
Legal existence and registration (state records; business name matches the W-9)	Yes	Yes	Yes	The name on the contract, W-9, invoice and bank account must match.
Sanctions and restricted-party screening (OFAC SDN and other lists, BIS Entity List and Denied Persons List, other U.S. and UN lists) of the vendor, owners and key officers	Yes	Yes	Yes	Repeated annually for High, and on any list update for High and for Critical vendors (Code of Ethics and Compliance Manual 3.7).
Debarment and exclusion check (SAM.gov exclusions and state lists)	For federal or government-funded work	For federal or government-funded work	Yes	
Prohibited vendors and equipment (Section 889 covered telecom and video-surveillance, prohibited software, forced-labor lists; see 4.3)	Yes for hardware and software	Yes	Yes	
Conflict-of-interest declaration by the vendor (2.1)	Yes	Yes	Yes	

ownership (persons owning or controlling 25% or more, or otherwise controlling the vendor)	No	If owner is not known	Yes	Compliance may ask for more if a red flag exists.
Adverse-media and litigation search	No	Yes	Yes	
Anti-corruption questionnaire and references	No	Short	Full, with Compliance interview	Code of Ethics and Compliance Manual 6.5.
Security and privacy assessment	If data or systems	Yes	Yes (Critical: SOC 2 Type II or ISO 27001, penetration-test summary, subprocessor list)	IT Policy Manual 8.1.
Financial standing (statements, credit report, funding)	No	Above \$100,000 total value	Yes	Look for going- concern risk, tax liens, judgments.
Business- continuity and exit plan	No	For critical services	Yes	See 4.5.
Insurance certificate	If on premises or providing services	Yes	Yes	Appendix G.

Partner Standards acknowledgment	Yes	Yes	Yes	Code of Ethics and Compliance Manual 5.5.
Tax form (W-9 or W-8) and TIN match	Yes	Yes	Yes	Finance and Accounting Manual 4.2.

Disqualifying and cautionary findings. The following are assessed by Procurement and Compliance:

- **Automatic bar** (no exception; no waiver): a match to a sanctions or embargo list (blocked person or country) that prohibits dealing, debarment where the work is federal, or a covered prohibited vendor or product for the intended use.
- **Serious concern, which needs a documented assessment and Compliance and General Counsel approval to proceed:** a vendor that is insolvent or in bankruptcy proceedings; convicted of or under investigation for fraud, bribery, money laundering or terrorism financing; involved in serious breaches of labor, human-rights, forced-labor, environmental or tax obligations; guilty of serious professional misconduct or misrepresentation; unable to say who owns it; or that has an undisclosed conflict of interest with Simtora staff. Before a vendor with such a finding may go forward, the Compliance Officer assesses what it has done to prevent a recurrence, and either approves it with conditions, or bars it.
- **A vendor may be rejected** for a poor performance record with Simtora, an unremediated security incident or breach, or refusing to accept the Supplier and Partner Standards.

Vendors in high-risk countries and foreign vendors. Vendors that are organized, owned, paid or operating in a **sanctions-sensitive or high-corruption-risk country**, or that need payment outside the country where the service is performed, are High tier. Payment goes only to an account in the vendor's own name, in the country where the service is performed, and against detailed invoices (Code of Ethics and Compliance Manual 6.5). Foreign vendors are checked by the Tax Manager for withholding and reporting (Finance and Accounting Manual 4.3, 5.7).

Results and records. Screening results, questionnaires, approvals and reasoning are kept in the vendor file. A screening hit is held and referred to Compliance the same business day and payment is blocked until it is cleared. Records are kept as in 8.1.

4.3 Government, Customer-Driven and Supply-Chain Restrictions

Purpose. To make sure purchases that support customer and government work meet the requirements those customers impose, and to keep prohibited products and vendors out of Simtora's supply chain.

Scope. Any purchase for a customer deliverable or a government contract, any hardware or software that may be resold, embedded or used on customer work, and any imported goods.

Policy

Customer-driven purchases

- Where a customer contract, a statement of work or a security addendum sets rules for buying (for example, approved-subcontractor lists, background checks, data-location limits, insurance, competitive bidding, customer approval of subcontractors), those rules apply **in addition to, not instead of**, this manual. Where a customer's rule conflicts with this manual, the stricter rule applies, and the Contract Owner tells Procurement and Legal before signing the customer contract.
- **Deal teams** tell Procurement early of any customer requirement that affects sourcing, and Legal records it in the contract-obligations register (IT Policy Manual 8.3). Where a customer's approval is needed before Simtora may engage a vendor, that approval is obtained **before** the vendor's contract is signed, and only **after** Simtora's internal approvals are complete.
- A customer may not decide Simtora's purchases for its own advantage (2.2), and pass-through costs to customers follow the contract and Finance and Accounting Manual Part 3.

Government contracts (see Code of Ethics and Compliance Manual 3.9)

- Legal and Compliance approve any subcontract, teaming agreement or purchase made under a federal, state or local government contract before commitment, and identify which **flow-down clauses** (for example, FAR and agency supplements, state rules), pricing and audit rules apply.

- **Subcontractors and suppliers** are checked for exclusion or debarment (SAM.gov and state lists) before award and again before renewal.
- **Costs and records.** Purchases charged to a government contract are coded to the correct project, supported, and kept to the contract's retention period, if longer than 7 years. **Mischarging is a serious violation.**
- **Procurement integrity.** No one seeks or accepts non-public source-selection or competitor bid information, and no one discusses employment with a government procurement official during a live procurement (Code of Ethics and Compliance Manual 3.9). Report any such contact to Legal at once.
- **Revolving door.** Check with Compliance and HR before engaging a current or former government employee as a consultant or contractor.
- **Small-business and socio-economic requirements.** Where a contract requires a subcontracting plan or set-aside participation, Procurement runs the plan and keeps the records. Simtora makes no false claim of eligibility or status.
- **Cloud and data.** Where a contract needs FedRAMP, StateRAMP, CMMC, NIST SP 800-171 or similar levels, only vendors that hold them (or are authorized for the data involved) are used (IT Policy Manual 1.4, 8.3).

Prohibited products and vendors (see Code of Ethics and Compliance Manual 3.9 and 5.2)

- **Section 889.** Simtora does not buy, use, or resell **covered telecommunications and video-surveillance equipment or services** (for example, from Huawei, ZTE, Hytera, Hikvision and Dahua and their affiliates as defined in the law), or use them in a way that violates the federal restrictions. Procurement checks hardware and networking vendors.
- **Other restricted products.** Products and services that the U.S. government has banned or restricted (for example, certain antivirus and security software, and other products on the Commerce Department and other federal lists) are not purchased. Procurement maintains the current list with IT Security and Legal and publishes it on the intranet.
- **Country of origin.** Where hardware or software is sold to government customers, the **Trade Agreements Act** and similar origin rules are checked before purchase. Legal confirms before the sale, and Procurement records the origin.
- **Forced labor.** Simtora does not buy goods made with forced or child labor (**Uyghur Forced Labor Prevention Act**, Tariff Act section 307, Trafficking Victims Protection Act). Procurement asks hardware and equipment suppliers (including data-center and device vendors) for supply-chain information and follows up on red flags. If a report or

red flag suggests forced or child labor, Procurement **stops or pauses the order** and refers it to Compliance and Legal, which decide on investigation, remediation or termination (Code of Ethics and Compliance Manual 5.2).

- **Imports.** Imports of hardware and other goods go through licensed customs brokers, with accurate values and origin declared. No one undervalues or mislabels goods (Code of Ethics and Compliance Manual 3.7).
 - **Export controls.** Purchases of items that are, or contain, controlled technology, and any purchase of services involving the export of Simtora technology, are reviewed by Legal (Code of Ethics and Compliance Manual 3.7).
-

4.4 Vendor Performance, Scorecards and Preferred Vendors

Purpose. To make sure vendors deliver what they promised, to reward good performance and to act early on poor performance.

Scope. All vendors, with more attention on Critical and High tier vendors and on vendors with annual spend of **\$100,000** or more.

Policy

Scorecards

- Procurement and the Contract Owner score each vendor that meets the criteria below, on **quality of work or product; delivery and responsiveness; service-level performance; security and compliance (including incidents and audit findings); commercial performance (invoice accuracy, pricing discipline); and relationship and collaboration**. Scores are 1 to 5, with comments.
- **Frequency:** quarterly for Critical vendors and for vendors above 250,000 *
** a year; semi – annually for High and Medium tier vendors above* * * 100,000; annually or at renewal for others.
- **Business reviews.** Critical vendors, and vendors above \$250,000 a year, have a **quarterly business review** with the Contract Owner, Procurement and, where relevant, IT Security. The review covers service levels, incidents, roadmap, cost, risk and open issues.

- **Poor performance.** A vendor scoring below 3 overall, or below 2 on any element, is given a written **remediation plan** with a deadline (normally **30 days**). If the plan fails, the Contract Owner and Procurement decide on formal notice, service credits, reduced scope, no renewal, or termination, with Legal (5.5). A vendor's record is considered in later sourcings, but only against published criteria and after the vendor has had a chance to respond.
- **Security and incidents.** Vendor incidents, breach notices and audit findings are reported to IT Security and Procurement at once, and reflected in the scorecard (IT Policy Manual 8.1).
- **Concentration and dependency.** Procurement and IT review annually the vendors on whom Simtora depends most (single-source, high-spend, Tier 0 dependencies), including the vendor's dependency on Simtora, alternatives, and exit plans.

Preferred Vendor List (PVL)

- The PVL lists vendors that were selected through a competitive process (or framework), are onboarded at the right tier, have agreed to Simtora's or approved terms, and have good performance records. Each has a category, negotiated price or discount, and a named Procurement owner.
- Using a Preferred Vendor is **the default** for the category. A requester may propose a different vendor with a reason, which Procurement assesses under 3.1 (for Band 1 and 2, the requester may proceed if the price is lower and the vendor passes onboarding).
- Vendors are added or removed by the Head of Procurement, with Panel review for spend above **\$100,000** a year. The PVL is reviewed annually.
- Preferred status is not a guarantee of work. Vendors are treated equally, and purchases are made on need.

4.5 Suspension, Offboarding and Exit

Purpose. To end vendor relationships safely, without losing data, service or leverage.

Scope. Any vendor that is suspended, not renewed, terminated or replaced.

Policy

Suspension. Procurement, with Compliance, Legal or IT Security as needed, may **suspend** a vendor (no new POs or commitments, and payments held or reviewed) if there is a sanctions or screening hit, a credible allegation of bribery, fraud or forced labor, a serious security incident, loss of insurance, or a serious breach. The Head of Procurement decides within **1 business day**, informs the Contract Owner and Legal, and Compliance and Legal decide whether to reinstate or terminate. Payments are held only on Legal's advice where a contract is in force, so that Simtora does not itself breach it.

Exit planning

- For **Critical** and **High** vendors, an **exit plan** is part of onboarding and is refreshed each year: how data and configuration can be exported, how long migration would take, alternative vendors, and continuity terms (escrow, transition assistance) (IT Policy Manual 6.6, 8.1).
- Contracts include exit terms: return of data in a usable format, deletion certified within **30 days** of contract end, transition support at agreed rates, and continued service during transition (5.2).

Offboarding checklist (Contract Owner with Procurement, IT and Finance):

Step	Owner	When
Confirm the decision (not renewing, replacing, or terminating) and send written notice by an authorized signer within the contract notice period	Contract Owner, Legal	At least 90 days before renewal (5.3)
Agree a transition plan and dates; identify replacement or in-house arrangements	Contract Owner, IT	Before notice takes effect
Remove vendor access to systems, buildings, tools and accounts; recover badges, equipment and Company data (IT Policy Manual 8.2, 3.3)	Sponsor, IT	On the last day of service, or immediately if terminated for cause
Export and verify Company data; obtain the deletion certificate	IT, Contract Owner	Within 30 days after end
Reconcile final invoices, credits, prepayments and open POs; close the PO		

Vendor requests. If a vendor asks to end its contract early, Legal and the Contract Owner decide the response. The contract terms and the cost of a disruption are considered before agreeing.

Part 5 – Contracts

5.1 Contract Templates, Legal Review and Signature

Purpose. To make sure that every purchase with a legal commitment is in writing, on terms that protect Simtora, and signed by someone with the authority to sign.

Scope. Every purchase that involves a contract, order form, statement of work, terms of service, license or other agreement, including click-through and online terms.

Policy

Templates. Legal maintains and publishes the approved templates on the Procurement intranet page, including:

- **Mutual non-disclosure agreement;**
- **Master services agreement and statement of work;**
- **Professional services / consulting agreement and independent contractor agreement;**
- **Purchase order terms and conditions** (for goods and simple services);
- **Data processing agreement (DPA) and security addendum;**
- **Supplier and Partner Standards** (Compliance); and
- **Software and SaaS order form addendum** (Simtora's standard changes to a vendor's paper).

Procurement uses Simtora's templates first. For SaaS, cloud and other standard products, the vendor's paper is accepted only after review under this section, and with Simtora's addendum.

Legal review. Legal reviews **before signature**:

- every contract with a total value above **\$25,000** (Finance and Accounting Manual 1.2); and
- **any** contract, whatever the value, that has one of these non-standard features: unlimited liability or indemnity by Simtora; a liability cap below the fees for the last 12 months or below Simtora's own standard; automatic renewal for more than 12 months, or a notice period longer than 90 days; exclusivity or minimum purchase commitments; a change to Simtora's rights over its data or intellectual property; assignment of Simtora intellectual property; processing of personal data, Restricted data or customer data; governing law outside the United States, arbitration or a forum clause that Legal has not approved; most-favored-customer or non-compete clauses that bind Simtora; a government or customer flow-down; a term or price lock without an exit right; or vendor use of Simtora's data to train models.

Target turnaround. Legal aims to return **standard-paper** contracts in **5 business days** and **negotiated** contracts in **10 business days** of a complete request, and agrees a schedule with Procurement for Band 4 and 5 contracts. Procurement runs the negotiation with Legal and the requester.

Who may sign.

- Only the **CEO, CFO and General Counsel** may sign contracts on Simtora's behalf without a specific delegation. **Department Heads** may sign **standard-form, budgeted vendor contracts up to \$25,000** total value, after Legal has approved the form or the Legal-approved template is used **unchanged**, and after the approvals in 1.3 (Finance and Accounting Manual 1.2).
- **Nobody else**, including managers and engineers, may sign, click-accept, "agree" online, or otherwise bind Simtora to a contract, order form, statement of work or terms of service for anything with a cost or legal obligation. This includes accepting terms when creating an account for a trial or a free tool (IT Policy Manual 2.3).
- **Sequence.** Approvals (1.3), vendor onboarding (4.1), IT review (where needed) and Legal review come **before** signature. The signer checks that they are complete, that the signed form matches the approved version, and that the vendor's legal name matches the vendor master. A signer does not sign a contract that they requested or negotiated alone above \$25,000.
- **Work starts after signature.** A vendor does not start work, and Simtora does not share data, until the contract (or PO for goods) is signed, except in a properly approved emergency (3.8).

- **Signing method.** Contracts are signed through the Company's e-signature tool and stored in the contract register with the signed copy, the approval record and a contract summary sheet (parties, value, term, renewal and notice dates, owner, key terms, risk tier, data classes).
- **Unauthorized commitments.** A contract signed without authority is handled under 1.6 and referred to Legal.

Responsibilities

- **Legal:** templates, review, negotiation support, signing (as an authorized signer), and the contract register (with Finance).
 - **Procurement:** manage the contract process, the summary sheet and the register data.
 - **Requester and Contract Owner:** confirm the terms match what was sourced, and follow the contract.
-

5.2 Standard Contract Terms and Insurance Requirements

Purpose. To set the minimum terms that protect Simtora, so negotiations start from a consistent position.

Scope. Contracts in Bands 2 to 5, and any contract that Legal reviews. The lighter terms in the PO conditions apply to Band 1.

Policy

The table shows Simtora's standard position. Legal may agree to a fallback within the limits shown. Departures beyond the fallback need approval from the **General Counsel** (and the **CFO** for financial terms, and the **CISO** for security and data terms).

Term	Standard position	Fallback and approval
Scope and acceptance	Clear scope, deliverables, milestones and written acceptance criteria; acceptance within an agreed period (normally 10 business days)	Deemed acceptance only if not disputed within 10 business days (Legal)
Price and expenses	Fixed or capped fees; expenses only if pre-approved and at cost, within the travel rules in the Finance and Accounting Manual 4.8; no minimum commitments without approval	Time-and-materials only with a not-to-exceed amount
Price changes	Fixed during the term; renewal increases capped at the lower of 5% or CPI	Up to 10% with Head of Procurement's approval; anything higher goes to the approvers under 1.3
Payment terms	Net 30 from receipt of a correct invoice (Finance and Accounting Manual 4.3); invoices to ap@simtora.example ; right to withhold disputed amounts	Net 15 for small vendors where Simtora chooses; up to Net 60 (Controller); prepayment only under 7.3
Term and renewal	Initial term of 12 months, or as sourced; renewal terms of no more than 12 months ; no evergreen renewal without a right to give notice; vendor gives written renewal notice at least 90 days before	Multi-year terms of up to 3 years if the price benefit is documented; longer needs CFO. A vendor's renewal notice period longer than 90 days needs Legal's approval and is flagged in the register
Termination for convenience	Simtora may terminate on 30 days' notice (services), with pro rata refund of prepaid fees	For subscriptions or fixed-price projects: termination at the end of the term with no auto-renewal (Legal)

Insurance requirements. Vendors carry at least the following, with U.S. insurers rated **A- VII or better**, naming Simtora as **additional insured** on general liability (and, where on Simtora premises, on umbrella coverage), with a waiver of subrogation where the work is on premises, and **30 days' notice** of cancellation. Higher limits follow the contract's risk (Finance and Accounting Manual 6.6). Full checklist in Appendix G.

Vendor type	Minimum coverage
Any vendor providing services	Commercial general liability <i>1M per occurrence/2M aggregate</i> ; workers' compensation as required by law with employer's liability of at least \$500,000
On Simtora premises or driving for Simtora	The above, plus business auto <i>1M *</i> <i>*; contractor doing construction or building work :</i> <i>umbrella * *5M</i>
Technology, software, consulting or other professional services	The above, plus technology errors and omissions (professional liability) \$2M
Access to Confidential or personal data	The above, plus cyber liability \$2M
Critical or High tier: Restricted data or core service	Tech E&O and cyber liability of \$5M each
Staffing agencies	General liability, workers' compensation, <i>**employment practices liability 1M * *</i> , <i>fidelity or crime 1M</i> where agency staff handle money

5.3 Contract Register, Renewals and Terminations

Purpose. To make sure Simtora knows what it has committed to, when contracts renew or end, and that no contract renews or lapses by accident.

Scope. Every contract, order form and subscription with a vendor, including auto-renewing ones and low-value ones.

Policy

Contract register. Legal keeps the contract register with Finance (Finance and Accounting Manual 1.2); Procurement maintains vendor and renewal data and IT keeps the SaaS inventory. The register records: the parties, description, **owner**, total value, term, **renewal type and date**, **notice deadline**, termination rights, risk tier, data classes, approvals, linked PO, and the location of the signed copy. **Every** signed contract is entered within **5 business days** of signature.

Renewals. The Contract Owner is responsible for renewals. Procurement runs the calendar:

Days before the renewal date	Action	Owner
150	Procurement sends the renewal notice to the Contract Owner, with cost, usage, scorecard and performance data. IT confirms usage and reclaims unused licenses (IT Policy Manual 2.3).	Procurement, IT
120	The Contract Owner decides: renew as is; renegotiate; replace (start sourcing); or terminate. IT Security confirms whether the vendor's risk has changed.	Contract Owner
90	Notice deadline. If the decision is not to renew, or to renegotiate, formal written notice is given not later than 90 days before the renewal date (Finance and Accounting Manual 1.2; IT Policy Manual 2.3), or earlier where the contract requires it.	Legal, Procurement
60	Negotiation and any new sourcing are underway; the renewal is approved by the approvers (below).	Procurement, approvers
30	Signed renewal or replacement in place; if not, the Head of Procurement escalates to the CFO.	Procurement

Approval of renewals

- A renewal is a **new commitment** measured on its total value over the renewal term (1.2) and approved under 1.3. Renewals that increase the price by more than **10%** or **\$25,000** a year, or that materially change scope or term, need re-approval one level above the normal level for the value, and go back to the market if the total value reaches Band 4 or 5 (or where the term has reached the maximum without competition).
- A renewal of a contract that was **not** competitively sourced is re-tested against the market at least every **3 years** for Band 3 to 5 values, or the reason for not doing so is recorded.

- A contract that **auto-renews** because no notice was given is reported to the CFO as an **avoidable commitment**, and the Contract Owner explains why in writing.

Expiry and extension. Vendors do not continue work after a contract ends unless it is extended in writing under 5.4. Expired contracts with continuing service are treated as after-the-fact commitments (1.6).

Terminations. Only a signer under 5.1 may terminate a contract, after Legal has checked the notice terms, cure rights, fees and data-return obligations. Terminations follow 4.5.

5.4 Amendments, Extensions and Change Orders

Purpose. To prevent competitive purchases from growing into large, uncompetitive ones through a chain of small changes.

Scope. Any change to the scope, price, term, volume or terms of a signed contract, including change orders under a SOW, extensions, options, add-ons and repeat purchases from the same vendor.

Policy

- **In writing.** Changes are documented in a **written amendment or change order** signed by both parties, by an authorized signer under 5.1. Emails, chat messages and verbal agreements do not change a contract. The Contract Owner is responsible for change management.
- **Legal review** of every amendment above **\$25,000** in value, or that changes a key term (liability, data, IP, term, exit, security).
- **Approval on total value.** An amendment is approved by the approvers who would approve the **new total value** of the contract (original plus all amendments, extensions and repeat purchases), measured as in 1.2. Splitting a change to stay within a limit is prohibited.
- **Growth limits.** The cumulative increase in value from all amendments, extensions, change orders and repeat purchases of the same goods or services is limited as follows:

Cumulative increase on the original approved value	What is needed
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- **Bands.** An amendment that would take the total into a **higher band** than the one the original sourcing followed needs the competition and approvals of the higher band, or a sole-source approval at that band, before it is signed.
 - **The nature of the contract cannot change.** A contract for one type of service may not be turned into a different one (for example, a facilities service contract into a consulting engagement), even if the value is unchanged.
 - **Unit prices.** Unit prices, rates and discounts remain as in the original contract, unless the change is a documented benchmarked reduction, or is a price change permitted by the contract.
 - **Options in the original sourcing.** Extensions and options that were **described in the RFP and priced in the winning offer** are treated as part of the original purchase if the correct process was followed for the **total** including the options, and are not counted against the growth limits.
 - **Change orders under a SOW.** The Contract Owner (a Department Head) may approve change orders that keep the SOW within its approved value and add no more than **10% or \$5,000** to it (whichever is smaller), documented in the procurement system. Anything larger follows the table.
 - **Term extensions** for a service that must continue while a new sourcing is completed are limited to **6 months** and a reasonable price, and require the Head of Procurement's approval (and the approvers for the value).
-

5.5 Contract Management and Disputes

Purpose. To make sure vendors do what the contract says, and that problems are handled early and properly.

Scope. All contracts and their Contract Owners.

Policy

Contract Owner duties. The Contract Owner:

1. Understands the contract's key terms, dates and obligations (from the summary sheet) and shares them with the team.

2. Holds a **kickoff** with the vendor for contracts above **\$25,000**: scope, contacts, reporting, service levels, security requirements, escalation path.
3. Confirms **receipt and acceptance** of goods and services in the procurement system within **3 business days** of delivery or the end of the service period (Finance and Accounting Manual 4.1), against the acceptance criteria.
4. Checks invoices against the contract and reports errors or price differences to AP.
5. Tracks performance and scores the vendor (4.4).
6. Manages **changes** (5.4), **renewals** (5.3) and **exit** (4.5).
7. Keeps the vendor to the **security and data terms**, including access limits and removal at the end (IT Policy Manual 8.2).
8. Reports issues, incidents and concerns to Procurement, IT Security or Legal without delay.

Payment follows performance. An invoice is **not paid** if the goods or services were not delivered as the contract requires, or have not been accepted (Finance and Accounting Manual 4.3). The Contract Owner tells AP within **3 business days** of an invoice issue.

Disputed amounts only may be withheld, after written notice to the vendor within the period the contract allows; the undisputed part is paid on time.

Performance problems

- Tell the vendor **in writing** at the first opportunity, ask for the problem to be fixed within a reasonable time, and document the response and any remediation plan (4.4).
- If the vendor cannot or will not fix the problem, or if the Contract Owner learns that a problem could lead to **material breach**, they tell **Legal within 2 business days**, before any threat of termination or claim of breach. Legal guides the response, especially if litigation may follow.
- Do not admit liability, promise payment or make statements to a vendor about legal rights without Legal's advice.

Disputes and claims. Vendor claims for extra payment, extra time or termination fees, and any notice of dispute, arbitration or litigation, go to **Legal the same business day**. Legal decides whether to issue a **legal hold** (Code of Ethics and Compliance Manual 4.4) and who leads the response. Settlements above the Contract Owner's authority are approved under Finance and Accounting Manual 1.2 and, for legal settlements, by the General Counsel and CFO.

Vendor price or terms changes. A vendor's notice of a price increase, change in terms, or a new license model does not take effect unless it follows the contract and is approved under 1.3. The Contract Owner sends any notice to Procurement within **5 business days** of receipt.

Vendor audits and requests. Vendor audits of Simtora's use of software (license audits) go straight to Legal and IT (IT Policy Manual 2.3). Requests from vendors for Simtora's information, references or publicity go to Legal or Marketing.

Part 6 – Category Rules

The rules in Parts 1 to 5 apply to every category. This Part adds the extra rules that apply to the categories Simtora buys most often. Where a category rule is stricter, it applies.

6.1 Software, SaaS, Cloud and AI Services

Purpose. To make sure technology purchases are secure, licensed, well priced and renewed deliberately.

Scope. Software, SaaS, browser extensions, plugins, integrations, cloud and hosting services, data services, APIs, AI tools and models, managed services and their resellers, whether paid or free, and whether bought by IT or by a business team.

Policy

- **IT review first, whatever the amount.** No commitment, trial, proof of concept or sign-up (including a free tier or a personal-account trial that touches Company or customer data) before IT's security and privacy review (IT Policy Manual 2.3). Target turnaround is **5 business days** for a standard review and **10 business days** for a tool that handles Restricted data. The review runs in parallel with sourcing and must be **finished before award and signature**. Business owners must not agree to terms, upload data or connect Company accounts before IT approves.
- **Check what we already have.** The requester first checks the approved software catalog and SaaS inventory for an existing tool or unused licenses. IT reclaims licenses

inactive for more than **60 days**.

- **Owners.** Every application has a **business owner** and a **technical owner** recorded in the SaaS inventory (IT Policy Manual 2.3). They approve access and take part in access reviews.
- **Minimum requirements for vendors.** Single sign-on and multi-factor authentication support; encryption in transit and at rest; a current **SOC 2 Type II** or **ISO 27001** report for Critical and High vendors; a DPA where personal data is processed; a subprocessor list; data location; ability to export data in a usable format; and deletion within **30 days** of contract end (5.2).
- **Method by value.** Software and cloud purchases follow the bands in 3.1 on **total value over the whole term**, including usage growth (1.2). Vendor "special offers," a discount for a longer term, or an expiring price are not reasons to skip competition.
- **Vendor paper.** Vendors' standard terms are accepted only after review (5.1) with Simtora's addendum (no training on Simtora data, security and breach terms, deletion, liability, renewal). Nobody but an authorized signer may click "accept" on terms that create a cost or legal obligation.
- **Payment.** Subscriptions are paid by **virtual card** where the vendor accepts it, so that spend is visible and renewals can be stopped (Finance and Accounting Manual 4.6). Annual prepayments above **\$5,000** are prepaid assets (Finance and Accounting Manual 4.3, 7.3).
- **Terms to avoid or limit:** automatic renewal for longer than 12 months, price increases above 5% per renewal, minimum-commitment "true-ups" and license audits without limits, bundles that force Simtora to buy what it does not need, and lock-in without data portability.
- **Cloud and infrastructure commitments.** Reserved capacity, savings plans, committed-spend and marketplace commitments are approved by the **Head of IT and the CFO** if **over 100,000, and by the CEO if over 500,000**, after checking utilization forecasts (Finance and Accounting Manual 7.4, 8.4). Budget alerts are set at 80% and 100% of the monthly budget for each cloud, AI/API and major SaaS account.
- **Resellers and marketplaces.** Purchases through a reseller or marketplace follow the same review. Procurement checks that the reseller is authorized and that Simtora's terms with the underlying vendor are preserved.
- **AI tools and services.** Only tools on the **Approved AI Tools list** (IT Security and Legal) are used with Company data, and **no Restricted data** goes into an AI tool unless the **CISO and General Counsel** approve (IT Policy Manual 4.5). AI vendor terms must state:

no use of Simtora or customer data to train models without written approval; data retention and deletion; sub-processor and model-provider disclosure; IP indemnity; and audit or evidence rights. Procurement adds the AI addendum from Legal.

- **Open source.** Free open-source software is used under the IT Policy Manual (6.3). Paid support, subscriptions or commercial versions of open-source products follow this manual.
 - **Free tools and trials.** Trials and pilots need IT approval and use **no real customer data**. A trial that is likely to convert to a paid contract is treated as the start of a purchase.
 - **Outsourced development and managed services** follow 6.3 and the IT Policy Manual (6.6, 8.2), including escrow or continuity terms for critical software.
 - **Renewals** follow 5.3, with IT confirming usage and risk at **150 days** and notice given not later than **90 days** before renewal.
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6.2 Hardware, Equipment and Supplies

Purpose. To buy equipment that meets standards, at good prices, from safe sources, and to record it properly.

Scope. Laptops, phones, monitors, networking and lab equipment, servers, peripherals, furniture, office and kitchen supplies, and consumables.

Policy

- **Buy through IT or IT-approved channels.** Company devices are bought from the hardware framework or Preferred Vendor and delivered to IT for imaging and enrollment (IT Policy Manual 2.2). Standard configurations are set by IT for each role. Exceptions need manager and IT approval.
- **Refresh and reuse.** Laptops are refreshed after **4 years**, or earlier if performance, security support or repair cost requires (IT Policy Manual 2.2). Before buying, IT checks for refurbished or returned stock.
- **Home-office equipment.** Employees buying equipment with the HR home-office allowance (*500 one — time; upto 1,000* for fully remote employees) or the connectivity stipend follow HR 7.4 and IT's peripheral standards, through the expense system. That is not a sourcing under this manual. Equipment bought with Company funds is inventoried.

- **Method.** Bulk or repeated hardware purchases are sourced through a **framework agreement** (3.9), with price benchmarks every year. Individual orders follow the bands in 3.1.
- **Specifications.** Business-grade equipment with at least a **3-year warranty** unless IT approves otherwise. Security features (encryption, firmware protection, management enrollment) are required. Equipment must not be on the restricted lists (4.3).
- **Delivery and receiving.** Deliveries are checked against the PO by IT, or the business owner, within **3 business days**, and receipts are recorded (7.2). Assets above the threshold are tagged and recorded in the fixed asset register (Finance and Accounting Manual 7.1, 7.2). **Capitalization threshold is \$5,000 per unit**; laptops are generally expensed but tracked and tagged (Finance and Accounting Manual 7.4).
- **Leasing and financing.** Equipment leases are reported to the Controller **before signing** (Finance and Accounting Manual 2.6), and financing over **\$250,000** follows Finance and Accounting Manual 6.4.
- **Imports.** Hardware imported from abroad is cleared by licensed customs brokers with accurate value and origin (4.3).
- **Disposal.** Retired equipment is sanitized under NIST SP 800-88 and disposed of by vendors that supply **certificates of destruction** (IT Policy Manual 2.4). Sales, donations or write-offs follow Finance and Accounting Manual 7.3, and no one takes Company hardware home without IT's written approval.
- **Supplies.** Office and kitchen supplies are bought from the Facilities Preferred Vendor catalog. Petty cash is only for small building supplies within the float of 500 * *and* * 75 per transaction (Finance and Accounting Manual 4.9).

6.3 Consultants, Contractors and Professional Services

Purpose. To engage outside experts correctly: with the right classification, scope, protections and oversight.

Scope. Consultants, freelancers, independent contractors, professional and advisory firms, outsourced service providers, and engineering firms (other than the special channels in 6.7).

Policy

- **Classification before work starts.** HR and Legal decide whether an individual is an employee or an independent contractor, using the federal and state tests, **before** work starts (HR Policy Manual 1.2; Finance and Accounting Manual 5.7). Finance will not pay an individual as a contractor without HR's classification sign-off. Contracting with a firm (rather than an individual) reduces, but does not remove, the need to check.
- **Method by value.** The bands in 3.1 apply on the **total value of the engagement**, including extensions. A repeated need for the same skill (for example, contract engineers) is put on a framework (3.9).
- **Statement of work.** A written SOW states deliverables, milestones, acceptance criteria, location, rate or fee, a **not-to-exceed amount**, and how changes are agreed (3.2). Time-and-materials engagements have a cap and regular timesheets approved by the Contract Owner.
- **Agreement and protections.** A Legal-approved agreement with confidentiality, **IP assignment** (work-made-for-hire and assignment of rights), data-protection terms where relevant, insurance (5.2), indemnity, no authority to bind Simtora, and compliance with the Supplier and Partner Standards.
- **Access and equipment.** A contractor gets access only if there is a business need, a **named Simtora sponsor**, a signed agreement and the data owner's approval, for a **fixed period that matches the contract** (default maximum **90 days**, renewable), and with MFA and named accounts (IT Policy Manual 8.2). Contractors complete security awareness training within **30 days** (or before access to sensitive data). Contractors use their own equipment unless IT approves a Company device or virtual desktop for access to Confidential or Restricted data, and are not given benefits, badges or tools that blur the classification without HR and Legal review.
- **Payment.** Contractors are paid by AP on invoices approved by the budget owner, **not** through payroll or the expense system (Finance and Accounting Manual 5.7). Vendor onboarding, a W-9 and a TIN match come first.
- **Duration and conversion.** An engagement lasts no more than **12 months** without new approval. **Long-term, full-time contractors** are reviewed by HR every **6 months** for conversion or reclassification (Finance and Accounting Manual 5.7).
- **Former employees and relatives.** A contractor engagement of a former employee within **6 months** of leaving, or of an employee's relative, needs HR and Legal review (and Compliance approval where 2.1 applies).
- **Government employees.** Check with Compliance and HR before engaging a current or former government employee (4.3).

- **Deliverables.** Work is accepted in writing against the SOW (5.5). Payment follows acceptance. Ownership of deliverables passes to Simtora on payment.
 - **Outsourced development.** Outsourced software development follows the secure development, code-ownership and escrow rules in IT Policy Manual 6.1 and 6.6.
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6.4 Staffing Agencies and Recruiters

Purpose. To get temporary staff and recruiting help from reliable agencies, on fair terms, and without co-employment or hiring-law risk.

Scope. Staffing and temporary-labor agencies, professional employer arrangements, executive search and recruiting firms.

Policy

- **Owner.** The **Chief People Officer** sponsors each staffing and recruiter arrangement. **Procurement** runs the sourcing and negotiates master agreements. Hiring managers do not sign agency agreements or accept agency terms.
- **Panel of agencies.** Procurement keeps a **panel** of agencies, selected through competition once **annual expected spend above \$100,000** across agencies is reached, and re-tested at least every **3 years**. Panel agencies work under **master agreements** with **rate cards**. Agencies are non-exclusive.
- **Master agreement terms** (in addition to 5.2): rate card and mark-up limits benchmarked against the market; agency responsible for **employment-law compliance** (wages and hours, workers' compensation, payroll taxes, benefits, immigration and Form I-9), **lawful background checks** consistent with federal and state law, equal-opportunity and non-discrimination commitments, no requests for salary history where prohibited, and training and confidentiality of agency staff; insurance including **employment practices liability \$1M** and workers' compensation (Appendix G); **conflict-of-interest terms** (Finance and Accounting Manual 5.7); and the agency's staff following Simtora's conduct, security and safety rules while on assignment (HR Policy Manual 1.2).
- **Conversion and placement fees.** Temp-to-permanent **conversion fees** decline over the assignment and are **zero after 6 months or 1,040 hours**, whichever comes first. **Permanent-placement fees** are contingent (paid only on a hire), normally no more

than **20% of first-year base salary** (higher only with HR and Procurement approval), with a **replacement or refund guarantee of at least 90 days**. Retained searches are for executive roles only and need CFO approval.

- **Requests.** Requisitions to agencies are made only through HR. Agencies do not contact Simtora employees directly, and payments are made only on invoices matched to approved timesheets or hires.
 - **Candidate ownership.** A candidate who has applied to or been in discussion with Simtora in the previous **12 months** is not an agency fee candidate unless the agency introduced them first and the master agreement says so.
 - **Access.** Agency staff with system access follow IT Policy Manual 8.2, with time-limited access and a named sponsor.
 - **Payments and gifts.** No employee receives a referral fee, gift or payment from an agency (2.2). Agencies are paid on invoices through AP.
 - **Co-employment.** Simtora does not control the terms of employment of agency staff (pay, discipline, benefits). HR and Legal review any arrangement that looks like joint employment.
-

6.5 Marketing, Events, Sponsorships and Travel Providers

Purpose. To buy marketing, event and travel services well, within legal and ethics rules.

Scope. Marketing and creative agencies, freelancers, media buying, influencers, printing and promotional items, conferences and events, sponsorships, and travel management and travel suppliers that Simtora selects.

Policy

Marketing and creative

- Sourcing follows the bands in 3.1 on the total value of the annual program or campaign, including production, fees and media.
- Agreements include: scope and approvals, ownership of creative work and licenses for third-party assets (fonts, images, music), **truthful and lawful advertising** (Code of Ethics and Compliance Manual 3.2), influencer and endorsement **disclosure**

requirements, compliance with privacy and marketing laws (for example, CAN-SPAM, TCPA and state privacy laws), and transparency on media costs and agency mark-ups.

- Purchased contact lists, and any tool that scrapes or enriches personal data, need **Legal and IT Security approval** before use.
- Vendors act in Simtora's name only with written approval.

Events, conferences and hospitality

- Venue, catering, transport and speaker agreements are reviewed by Legal above **\$25,000**, with attention to cancellation, attrition, force majeure, liability and insurance.
- Hospitality for customers, partners or officials follows the gift and hospitality limits and approvals in the Code of Ethics and Compliance Manual (3.4), and **nothing of value goes to a government official** without Compliance pre-approval (3.3).
- Event attendees and their expenses follow the expense and travel rules (HR Policy Manual 1.6, 8.1).

Sponsorships

- Sponsorships that give Simtora marketing benefits are business expenses, approved under the Finance and Accounting Manual (4.10), and reviewed by Compliance if any official or customer is involved (Code of Ethics and Compliance Manual 3.8). Charitable donations are not procurements (see 1.2).

Travel providers

- **Travel management company (TMC) or platform.** All flights, hotels and rentals are booked through the Company travel platform or approved travel agent (HR Policy Manual 8.1). The TMC or platform is chosen by a **formal RFP** (where the expected annual spend through it is above \$100,000) and re-tested every **3 years**. Criteria include: negotiated fares and rates, policy enforcement, duty-of-care tracking, reporting, integration with the expense system, service levels, data security and fees.
- **Supplier programs.** Procurement negotiates preferred **airline, hotel and car rental** programs, with lodging rates aligned to the caps Finance sets (the GSA lodging rate plus up to 25% for high-cost cities; Finance and Accounting Manual 4.8; HR Policy Manual 8.1) and refreshed after each GSA update on October 1.
- **Corporate cards and banking.** The card issuer, virtual-card platform and banking partners are selected by the **CFO** with Treasury (Finance and Accounting Manual 4.6, 6.1), with Procurement's support in the RFP and negotiation.

6.6 Facilities, Construction and Office Services

Purpose. To buy space, build-out and building services safely, with the right approvals and protections.

Scope. Office leases and related brokers, fit-out and construction, furniture, cleaning, security, catering, maintenance, mail and courier services, and data-center or colocation space. Facilities-specific procedures are in the Facilities and Office Administration Manual (SIM-FAC-001, Part 7); this section sets the sourcing rules.

Policy

- **Leases.** Real-estate leases, extensions and terminations are approved under the Finance and Accounting Manual (1.2), need Legal review, and are **reported to the Controller before signing** for accounting under ASC 842 (Finance and Accounting Manual 2.6). Sale or lease of real property needs Board approval (Finance and Accounting Manual 1.2). Brokers are selected by competition (three proposals), with fees disclosed.
- **Construction and fit-out.** Work above 100,000 *
**issourcedby formal RFP; below that, at least three written quotes. Contractor must*
**licensed * *, insured (general liability, workers' compensation and an **
umbrella of 5M,* with Simtora and the landlord as additional insureds where the lease requires), comply with permits, building rules, ADA and safety rules (OSHA), and submit **lien waivers with progress payments. Payments are tied to progress and completion, with a **retention (holdback) of 5% to 10%** until completion and punch-list sign-off (7.3).
- **Services on premises.** Cleaning, guards, catering, maintenance and similar providers are sourced through **framework agreements** with annual performance reviews. Security guard and other regulated providers are licensed. Vendors on premises follow the visitor, badge and escort rules (Facilities and Office Administration Manual, SIM-FAC-001, 2.3 and 7.4; IT Policy Manual 5.3 for network rooms and IT areas).
- **Furniture and equipment.** Items above the capitalization threshold are tagged and recorded (Finance and Accounting Manual 7.1, 7.2). Furniture has a useful life of 7 years for accounting purposes.

- **Environmental and safety.** Sourcing considers energy efficiency, recycled content and waste reduction (2.4), and vendors comply with Simtora's safety rules and applicable health and safety law (HR Policy Manual 4.3).
- **Data-center and colocation providers** are Critical or High vendors (IT Policy Manual 8.1) and follow 4.1 and 6.1.
- **Emergency repairs** to protect people or property follow 3.8.

6.7 Legal, Audit, Insurance, Benefits and Other Special Channels

Purpose. To recognize services that are chosen through their own governance, while still applying the ethics, conflict, approval and contract rules of this manual.

Scope. The services below. They are **not subject to the competition bands** in 3.1 unless stated, but **all approvals under the Finance and Accounting Manual (1.2), the conflict-of-interest rules (2.1) and the gift rules (2.2) apply.**

Policy

Service	Who selects and approves	Rules
Outside legal counsel	General Counsel	Engagement letters with rates and budgets; panel firms reviewed annually; conflict checks; no PO needed (Finance and Accounting Manual 4.1), but approved under 1.2 by total value. Matters involving Simtora's officers or the Audit Committee may need separate counsel.
External auditor and tax auditors	Audit Committee (auditor); CFO (tax advisers, with the Audit Committee informed)	The Audit Committee approves the auditor's engagement, fees and any non-audit services , to protect independence. Auditors and their staff are not offered gifts or hospitality. Rotation and re-bid are considered at least every 5 years.

Where a special channel involves a vendor with Confidential or Restricted data, IT security and privacy review and vendor onboarding (Part 4) still apply.

Part 7 – Purchase Orders, Receiving and the Payment Interface

7.1 Requisitions and Purchase Orders

Purpose. To make sure Simtora commits money only against an approved order, with a record of what was agreed.

Scope. Every purchase that needs a PO under the Finance and Accounting Manual (4.1), and all Band 2 to 5 purchases.

Policy

- **Requisition.** The requester submits a **purchase request** in the procurement system (Appendix A, form A1) with the vendor (or the need), description, quantity, estimated **total committed value** and term, budget line, business purpose, links to quotes, evaluation or sole-source papers, IT review reference, and the approvers' names.
- **When a PO is required** (Finance and Accounting Manual 4.1): any purchase over **\$5,000**; all **recurring vendor commitments**; services from **consultants and contractors**; and any commitment beyond **12 months**.
- **When a PO is not needed** (but the purchase is still approved and budgeted): payroll and benefits; taxes and government fees; rent and utilities under a lease; insurance premiums; legal and audit fees under an engagement letter; bank fees; travel and employee expenses under the Finance and Accounting Manual (4.6 to 4.8); and purchases under **\$5,000** made on a corporate card.
- **Issue.** Procurement issues the PO **after** the approvals (1.3), vendor onboarding (4.1), IT review, and contract signature (5.1) are complete, normally within **2 business days**. The PO states the vendor, scope, quantity, price, term, delivery, budget line, approvers and the terms that apply (contract or PO conditions).

- **No PO, no pay.** AP will not pay an invoice that needs a PO but does not have one, and returns it to the requester. The purchase is then handled as an after-the-fact purchase (1.6).
 - **Blanket and framework POs.** A blanket PO may be raised for a framework, or for recurring services, with a **not-to-exceed amount** and an **expiry date** (no more than 12 months). Spend is tracked against it, and an increase is approved under 5.4.
 - **Changes.** A PO is changed only through a PO change request approved by the same approvers for the **new total** before extra work starts or extra goods are ordered.
 - **Closing.** Procurement and AP review open POs **quarterly** and close those that are complete, expired or no longer needed, releasing the committed budget (Finance and Accounting Manual 8.2).
 - **Not a contract.** A PO is not a substitute for a contract where one is required (5.1). Above \$25,000, or for services, a signed contract or SOW sits behind the PO.
-

7.2 Receiving, Invoice Matching and Disputes

Purpose. To make sure Simtora pays only for what it received, once, at the agreed price.

Scope. All goods and services, from delivery to payment. Payment mechanics and accounting are in the Finance and Accounting Manual (4.3, 4.4).

Policy

- **Receipt and acceptance.** The business owner records receipt of goods, or acceptance of services or milestones, in the procurement system **within 3 business days** of delivery or the end of the service period (Finance and Accounting Manual 4.1). Partial deliveries are recorded as such. **Payment does not happen without it.**
- **Inspection.** The receiver checks quantity, condition and specification. Defective, wrong or damaged goods are refused or returned within the contract's period (vendor return authorization), and the invoice is not paid until replacement or credit.
- **Matching.** AP performs a **three-way match** (PO, receipt, invoice) for goods and PO-based purchases, within a tolerance of **the smaller of 2% or \$100**, and a **two-way match** plus the owner's approval for services and subscriptions (Finance and Accounting Manual 4.3). Differences beyond tolerance are held until resolved.

- **Approval timing.** The budget owner approves invoices in the AP system **within 3 business days**; unapproved invoices escalate to the Department Head after **5 business days** and to the CFO after **10** (Finance and Accounting Manual 4.3).
 - **Payment terms.** The contract's terms apply; the default is **net 30** from receipt of a correct invoice, paid in the next weekly payment run before the due date. AP takes early-payment discounts where worthwhile (Finance and Accounting Manual 4.3). Procurement negotiates terms, and AP pays.
 - **Disputes.**
 1. The Contract Owner or AP tells Procurement within **3 business days** of finding a discrepancy (price, quantity, quality, scope).
 2. Procurement contacts the vendor within **5 business days** and agrees a corrected invoice, a credit note or a resolution.
 3. **Only the disputed amount** is withheld, with written notice to the vendor in the period the contract allows. The undisputed part is paid on time.
 4. Unresolved disputes are escalated to Legal after **15 business days**, or immediately if there is a threat of termination or a claim (5.5).
 - **Vendor payment inquiries** go to `ap@simtora.example`. Employees do not promise payment dates. Late payments are reported weekly to the Controller (Finance and Accounting Manual 4.3), and recurring lateness on undisputed invoices is reviewed by Procurement with AP.
 - **Red flags.** Invoices with new or changed bank details, urgent requests, unusual purchase-order references, invoices for services nobody recalls, split invoices just under a threshold, round amounts, or invoices from a vendor with a relationship to an employee are reported to AP and Procurement, and to `security@simtora.example` when they look like impersonation (Finance and Accounting Manual 4.4).
 - **Credits and refunds** from vendors are matched to the original invoice and are never redirected to an individual (Finance and Accounting Manual 4.3).
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7.3 Prepayments, Deposits, Milestones and Holdbacks

Purpose. To limit the risk of paying before goods or services are delivered.

Scope. Any payment in advance of delivery or acceptance, deposits, milestone payments and retention.

Policy

- **Pay in arrears by default.** Payment follows delivery or acceptance. Advance payments are exceptions, made only where the market requires them (for example, annual SaaS subscriptions, event deposits, insurance, and some equipment orders).
 - **Controller approval.** Prepayments and deposits above 10,000 * *need the* * *Controller's* * *approval, contract protection (refund rights or security) and are tracked as prepaid* * 5,000 covering more than one month are recorded as prepaid expenses and amortized.
 - **Vendor strength.** Before a prepayment above \$25,000, Procurement checks the vendor's financial standing (4.2) and the refund terms if the vendor fails or the service ends. For Critical and High vendors, prepayment for more than 12 months needs the CFO's approval.
 - **Limits on services.** No more than 50% of a services contract is paid in advance, and never for work that has not been sourced and contracted. Deposits to individuals and to vendors that are not fully onboarded are not allowed.
 - **Milestones.** For implementations, custom development and projects, payments are tied to **milestones with written acceptance** (5.5), not to elapsed time. At least 10% of a fixed-price implementation is **held back** until final acceptance (and, for software, the end of the warranty or stabilization period).
 - **Construction retention.** Construction contracts hold back 5% to 10% until completion, with lien waivers (6.6).
 - **Security.** For prepayments above \$100,000 to a vendor that is not financially strong, Procurement seeks a refund guarantee, letter of credit or escrow, or a payment plan that reduces exposure.
 - **Refunds and unused prepayments.** The Contract Owner tracks the use of prepayments, and the Controller reviews unapplied prepayments quarterly. Refunds owed by a vendor are collected by AP and never redirected to an individual.
 - **Methods.** Payment methods follow the Finance and Accounting Manual (4.4). Wires to new or changed beneficiaries need call-back verification and dual approval.
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Part 8 – Records, Monitoring and Training

8.1 Procurement Files and Records

Purpose. To keep a complete, secure record that shows why a vendor was chosen, and that supports audit, legal claims and continuous improvement.

Scope. Every purchase above \$5,000, and every vendor onboarding.

Policy

What goes in the file

Band	Required contents
1	Receipt or invoice; approval; price comparison note
2	Purchase request and approval; the quotes or benchmark evidence; conflict attestation; IT review reference (if any); contract, order form or PO terms; PO
3	Everything in Band 2, plus: requirements; the quote request and list of vendors invited; all quotes and the comparison; evaluation notes; declarations; Legal and IT reviews; sole-source justification (if any); approvals; signed contract; onboarding record
4 and 5	Everything in Band 3, plus: the approved requirements and evaluation plan; the RFP and all amendments; the invitation list (and any advert); all questions and answers; all offers received; individual and moderated score sheets with comments; declarations from all evaluators; negotiation notes and BAFOs; the award recommendation memo ; Procurement Review Panel minutes; notices to bidders and debrief notes; any complaint and response; final due diligence; signed contract; handover to the Contract Owner

Rules

- **Who.** Procurement is responsible for the file for Band 3 to 5 purchases; the requester for Band 1 and 2 purchases. Files are stored in the **procurement system** or the restricted procurement repository, not in personal drives.
 - **Completeness.** The file for Band 3 to 5 is complete **within 10 business days of signature**. AP does not release the first payment above \$100,000 to a vendor unless Procurement confirms the file exists.
 - **Access.** Files are confidential (2.2) and restricted to people who need them. They are available to internal and external **auditors** and to Compliance and Legal at any time. They are not shared with bidders, except as in 3.10.
 - **Retention.** Procurement files, contracts, vendor records and unsuccessful bids are kept for **7 years after the end of the contract or final payment, whichever is later** (Code of Ethics and Compliance Manual 4.4; Finance and Accounting Manual 11.1), or longer where a government or customer contract, tax rule or legal hold requires. Records related to imports and trade are kept 5 years as a minimum under the Compliance schedule.
 - **Legal holds** suspend disposal (Code of Ethics and Compliance Manual 4.4). Procurement, with Legal, disposes of files after the retention period.
 - **Personal data.** Personal data in bids and vendor files is limited to what is necessary, protected, and deleted with the file (Code of Ethics and Compliance Manual 4.1).
-

8.2 Monitoring, Metrics and Reporting

Purpose. To show that procurement is working, and to find problems early.

Scope. Procurement, Finance, and all departments that buy.

Policy

Measures. Procurement tracks the following and reports against the targets:

Measure	Target
Spend over \$5,000 with a PO before the invoice date	95% or more by count
After-the-fact purchases above \$5,000	5% or less of invoices above \$5,000 by count; every case reviewed
Band 3 to 5 awards that followed the required method, or have an approved exception	100%
Sole-source awards above \$25,000	10% or less by number of awards (investigated above this level)
Vendor onboarding completed within target time (4.1)	90% or more
Contracts entered in the register within 5 business days of signature	100%
Renewals with notice given on time, and auto-renewals missed	100% on time; zero missed
Vendor scorecards completed on schedule (4.4)	90% or more
Files complete within 10 business days of signature (Band 3 to 5)	100%
Spend under a framework or with Preferred Vendors	Improving; target set annually
Debriefs and complaints answered within the times in 3.10	100%
Procurement training complete (8.4)	100%
Savings validated by Finance (8.3)	Reported quarterly

Reviews and analytics

- **Sampling.** Each quarter, Procurement reviews all Band 3 to 5 files for completeness and a sample of at least **10%** of Band 2 purchases for method, quotes and approvals.

Results go to the CFO and the Controller.

- **Analytics.** Procurement and Finance run data checks at least quarterly, for: multiple invoices or POs to the same vendor just below 5, 000,25,000 or \$100,000 in a short period (splitting); vendors with addresses, bank accounts or tax IDs matching employees; round-sum or sequential invoices; repeated awards to the same vendor without competition; unusual approval patterns (for example, approvals within seconds or by the same pairs of people); invoices without POs; and contract amendments that grow value (5.4). Red flags are reported to Compliance (Finance and Accounting Manual 1.5).
- **Annual certification.** Each Department Head confirms, in the annual certification campaign (Code of Ethics and Compliance Manual 6.3), that purchases in their department followed this manual, that they know of no undisclosed conflicts, and that exceptions and after-the-fact purchases have been reported.
- **Audit and testing.** Procurement is included in the internal audit plan at least **every 2 years**, and in Finance's control testing (Finance and Accounting Manual 9.6). Deficiencies are tracked to closure, with owners and dates.

Reporting

To	What	When
CFO and Finance Control Committee	KPIs; after-the-fact purchases; sole-source awards; exceptions and emergencies; onboarding pipeline; renewals at risk; savings	Monthly
Compliance Committee	Conflict declarations and outcomes; gifts refused; complaints and debriefs; screening hits and high-risk vendors; red flags; supply-chain issues	Quarterly
Audit Committee	Annual procurement integrity report : compliance with this manual, sole-source share, conflicts, complaints, investigations, audit findings, related-party purchases above \$10,000, and any fraud or bribery issues	Annually, and immediately for serious matters (1.1)
CEO and Board	Awards above \$500,000 with Panel recommendation; annual spend and savings summary	As they occur; annually

8.3 Savings, Spend Analytics and Category Management

Purpose. To use spend data to get better value, and to report savings honestly.

Scope. Procurement, Finance and budget owners.

Policy

- **Spend visibility.** Procurement and Finance combine AP, card and expense data with the contract register and SaaS inventory into a **spend view** by vendor, category, department and contract, refreshed monthly. Data quality issues (for example, uncoded or miscoded spend) are corrected by the Controller (Finance and Accounting Manual 1.4).
- **Category strategies.** Procurement keeps a short strategy for each major category (cloud and infrastructure; software and SaaS; contractors and professional services;

staffing; marketing and events; travel; facilities), reviewed annually with the budget owners and IT: spend, vendors, contracts and renewals, risks, opportunities, and the sourcing plan. The **top 20 vendors** by spend are reviewed each year.

- **Tail spend.** Procurement looks for small, repeated purchases that can be consolidated into a framework or moved to a preferred catalog.
 - **Reporting savings.** Savings are reported only when **validated by Finance** against an agreed baseline (the previous contract price, the current budget, or the competing offer). Procurement separates:
 - **Hard savings:** a real reduction in cost compared with the baseline, which shows in the budget or forecast.
 - **Cost avoidance:** increases or costs avoided (for example, a negotiated cap on a renewal increase), reported separately and not added to hard savings.
 - **Non-financial benefits,** reported as such.
 - **Integrity of the numbers.** Goals for Procurement and budget owners must not reward bypassing controls, choosing a vendor for reasons other than merit, or accepting risk to show a saving.
 - **Cloud and usage-based spend.** Cost optimization (right-sizing, commitments, waste removal) is done with IT and Engineering through the FinOps process in the Finance and Accounting Manual (8.4). Procurement negotiates the commercial terms.
-

8.4 Training and Support

Purpose. To make sure people know the rules and can get help easily.

Scope. Everyone who buys, approves or evaluates.

Policy

Group	Training	When
All new employees	Awareness of "how to buy at Simtora" and who may sign contracts, as part of onboarding (HR Policy Manual 1.3)	Within 30 days of hire
Budget owners, managers and Department Heads (anyone with approval authority)	Procurement basics: methods, approvals, no splitting, conflicts and gifts, IT and Legal reviews, receiving	Within 60 days of receiving authority, then an annual briefing (Finance and Accounting Manual 1.1)
Evaluators	Briefing on fairness, scoring, confidentiality and conflicts, before their first evaluation	Before the evaluation
Procurement staff	Ethics, anti-corruption, competition law, sanctions and export controls, contract basics, fraud awareness, and this manual	Within 60 days of role start, then annually (Code of Ethics and Compliance Manual 6.2)
Finance (AP) and Legal staff who support procurement	Vendor fraud and impersonation awareness; this manual's control points	At hire and annually

- **Support.** Procurement provides an intranet page with templates, a one-page guide and Preferred Vendor catalog, and holds weekly **office hours**. It responds to requests within **2 business days**. Each large department (for example, Engineering, Marketing, Sales and Customer Success) names a **procurement champion** who helps colleagues and passes on changes.
- **Feedback.** Requesters and vendors may give feedback to `procurement@simtora.example`. Procurement reviews it, together with cycle-time data, at least twice a year, and improves the process.

Appendices

Appendix A – Forms and Templates

Procurement maintains these forms on the Procurement intranet page (or as workflows in the procurement system). Each records who requested, who approved and when.

#	Form or workflow	Used for	Key fields	Approval
A1	Purchase request / requisition	Any purchase in Bands 2 to 5, and PO-required purchases (7.1)	Vendor or need, description, total committed value, term, budget line, business purpose, IT review reference, quotes or sourcing links, approvers	Per 1.3
A2	Vendor request and onboarding questionnaire (Low, Medium, High versions)	New or changed vendor (4.1)	Legal name, tax ID, address, owners, contacts, conflicts, insurance, security and privacy answers, bank details, risk tier, call-back record	Procurement, Compliance, IT, AP, Controller
A3	Supplier and Partner Standards acknowledgment	All vendors (4.2)	Vendor name, signatory, acknowledgment of standards	Vendor; Procurement
A4	Conflict-of-interest and confidentiality declaration	Each sourcing (2.1, Appendix H)	Name, role, sourcing reference, interests disclosed, confidentiality undertaking	Signer; Procurement; Compliance if conflict
A5	Quote request and comparison sheet	Bands 2 and 3 (3.4)	Requirement, vendors invited, quotes, total cost, compliance, recommended vendor, reasons	Requester; Procurement; approvers
A6	RFP template	Bands 4 and 5 (3.5,		

Appendix B – Procurement Method and Approval Matrix

Approval authority is set by the Finance and Accounting Manual (1.2 and Appendix B). If there is any difference, that manual governs.

B1. Method, review and approval by band (total committed value over the term, including foreseeable renewals and 12-month aggregation)

	Band 1	Band 2	Band 3	Band 4	Band 5
Value	Up to \$5,000	5, 000.01–25,000	25, 000.01–100,000	100, 000.01–500,000	Over \$500,000
Method	Direct purchase	Quick quotes	Written quotes (or short RFP)	Formal RFP	Formal open or broad invitation
Minimum competition	Price check (use Preferred Vendors)	2 quotes or benchmark	3 quotes	3 invited or open bidders	Open, competitive or invited
Who runs it	Requester	Requester (template)	Procurement	Procurement	Procurement
Evaluation	None	Lowest compliant	Lowest compliant or 2 scorers	3+ member team	3+ member team
PO required	No (on a card)	Yes	Yes	Yes	Yes
IT review	If software, data or integration	If software, data or integration	Yes, where applicable	Yes	Yes
Vendor onboarding	Only if not a card merchant	Yes	Yes	Yes	Yes
Legal review of contract	Only for non-standard terms	Only for non-standard terms	Yes	Yes	Yes
Panel review	No	No	Sole-source only	Yes	Yes

B2. Special approvals

Action	Approver
Sole-source above 5,000 <i>and upto</i> 25,000	Department Head (Procurement informed)
Sole-source above 25,000 <i>and upto</i> 100,000	Department Head and CFO
Sole-source above 100,000 <i>and upto</i> 500,000 (RFP waiver)	CFO and CEO, after Panel review
Sole-source above \$500,000	CFO, CEO and Board (or committee), after Panel review
Emergency purchase	CISO or Department Head to their limit; CFO above 25,000; <i>CEO</i> above100,000
Exception to this manual	CFO (CEO if it involves the CFO or exceeds \$500,000; CISO and Legal as needed)
After-the-fact ratification	One level above the normal level; Panel over \$25,000
Framework agreement	By total expected value over its term (3.9)
Call-off under a framework	Approvers for the call-off value; PO above \$5,000
Contract amendment, extension or change order	Approvers for the new total value (5.4); Panel above \$100,000 if over 20% growth
Renewal	Approvers for the renewal term's total value; one level higher if price rises by more than 10% or \$25,000
Conflict of interest decision	Compliance Officer (Compliance and General Counsel for High tier vendors)
High tier vendor onboarding	Compliance, General Counsel, Panel
Purchase from an employee, relative or affiliate	Compliance; Audit Committee review above \$10,000 per year

B3. Reviews required whatever the amount

Trigger	Review
Software, SaaS, AI tool, cloud resource, integration or data service	IT security and privacy review before commitment (IT Policy Manual 2.3)
New vendor	Vendor onboarding before commitment or payment (Part 4)
Customer or Restricted data	IT review; DPA; Legal; one band higher for review
Government work	Legal and Compliance before commitment (4.3)
Vendor in a sanctions-sensitive country, agent or commission-based party	High tier onboarding: Compliance and General Counsel
Contract with non-standard terms	Legal (5.1)

Appendix C – Lead-Time Guide

Start early. These are typical times with complete requirements, including security and legal review. They are business days unless stated. Late starts are not emergencies (3.8).

Band	Typical end-to-end time	Main steps
1	Same day to 3 days	Approval; buy through a Preferred Vendor or card
2	1 to 2 weeks (5 to 10 days)	Quotes 3 to 5 days; IT review 5 days in parallel; onboarding 3 to 10 days; PO 2 days
3	4 to 6 weeks	Requirements 1 week; quotes 5 days; evaluation 3 to 5 days; IT review 5 to 10 days in parallel; onboarding 10 to 20 days in parallel; Legal review and negotiation 5 to 10 days; approvals and PO 3 to 5 days
4	8 to 10 weeks	Plan 1 to 2 weeks; RFP open 10 business days plus Q&A; evaluation up to 10 business days; negotiation and due diligence 1 to 2 weeks; Panel 5 days; contract 2 to 3 weeks
5	12 to 16 weeks	As Band 4, with a 15-business-day response period, presentations, longer negotiation and Board scheduling

Add-on times (from a complete request):

Item	Target
IT security and privacy review	5 business days standard; 10 for Restricted data
Legal review of a contract	5 business days standard paper; 10 negotiated
Vendor onboarding	Low 3; Medium 10; High 20 business days
Procurement Review Panel	5 business days after a complete submission
Conflict decision	10 business days
Procurement's response to a request	2 business days

Appendix D – RFP Outline and Evaluation Scoring Guide

D1. RFP outline

1. **Introduction and background:** about Simtora; the need and outcome; timetable and the Procurement contact.
2. **Instructions to bidders:** how and where to submit, the deadline, language, format, the questions process, validity of the offer (at least 90 days), confidentiality, no contact rule (2.2), gifts rule, costs of bidding, right to cancel or not award.
3. **Scope and requirements:** scope and deliverables; minimum (must-have) requirements; desirable requirements; volumes and service levels; location.
4. **Technical, security and privacy requirements:** the IT Security questionnaire; data types; DPA; certifications (SOC 2, ISO 27001); subprocessors; data location.
5. **Legal and compliance requirements:** Simtora's contract form; areas where exceptions must be marked; insurance (Appendix G); Supplier and Partner Standards; conflict-of-interest statement; sanctions and prohibited-vendor representations; flow-down terms.
6. **Commercial response:** pricing template (fixed, per unit, usage tiers, all costs over the term for TCO); payment terms; rate validity and price protection.
7. **Vendor information:** company profile, ownership, financial statements, references (at least three, similar size and scope), team and CVs, subcontractors, litigation and incident history.
8. **Evaluation:** gate criteria; scored criteria and weights; price formula; minimum technical score; use of demonstrations and references; notification and debrief.
9. **Attachments:** draft contract, SOW, security questionnaire, pricing template, declarations.

D2. Scoring scale

Score	Meaning
0	No response, or the response is unacceptable
1	Poor: major gaps or risks; unlikely to meet the requirement
2	

D3. Example weighting (technology purchase)

Criterion	Weight
Price or total cost of ownership	30%
Functional and technical fit	30%
Implementation, delivery and support	15%
Security, privacy and compliance (after passing the gate)	10%
Vendor experience, references and stability	10%
Sustainability and inclusion	5%

Price or total cost is at least 20% of the total. **Price score** = (lowest total cost ÷ offer's total cost) × price points available. **Minimum technical score** to be considered: **60%** of technical points.

D4. Award recommendation memo: the requirement and value; process followed and dates; vendors invited and offers received; gate results; scores by criterion and total (with moderation notes); total cost comparison; negotiation results; due diligence, security, legal and onboarding results; risks and mitigations; recommendation and reasons; any departure from the ranking; approvals needed; and conflict declarations confirmed.

Appendix E – Vendor Onboarding Checklist by Risk Tier

#	Item	Low	Medium	High
1	Vendor request submitted with purpose, value, data involved	☐	☐	☐
2	Legal name verified against state records, W-9 and bank account	☐	☐	☐
3	IRS Form W-9 (or W-8) received; TIN match	☐	☐	☐
4	Sanctions and restricted-party screening of vendor, owners and officers			

Appendix F – Sole-Source Justification Outline

1. **Requester, Department, budget line, estimated total committed value and term.**
 2. **The need** and what happens if it is not met.
 3. **Reason for sole-source** (3.7, reasons A to G): the facts that support it.
 4. **Market check:** alternatives considered and why each is not suitable; what Procurement found; the date of the check.
 5. **Vendor capability:** track record, references, financial standing, security and compliance status.
 6. **Price reasonableness:** benchmark against similar goods or services, earlier contracts, published rates or list prices; negotiation achieved.
 7. **Risks** (lock-in, dependency, price, security) and the **compensating controls**.
 8. **Term:** as short as possible (no more than 12 months unless the Panel approves), with renewal review.
 9. **How competition will be introduced** at the next opportunity.
 10. **Conflict statement:** confirmation that no one involved has an interest in the vendor (2.1).
 11. **Approvals** (3.7) and Procurement Review Panel date and decision, where required.
-

Appendix G – Contract Term and Insurance Checklist

G1. Contract terms checklist (X = required; see 5.2 for the standard position)

Term	Band 2	Bands 3 to 5	Critical or High vendor
Scope, deliverables, acceptance	X	X	X
Fixed or capped fees; renewal price cap (5%)	X	X	X
Net 30 payment terms; invoices to ap@simtora.example	X	X	X
Termination for convenience (30 days) or no auto-renewal	X	X	X
Termination for cause with 30-day cure	X	X	X
Service levels and credits	If applicable	X	X, with termination right for repeated failure
Simtora owns deliverables; no AI training on Simtora data	X	X	X
Confidentiality	X	X	X
DPA and privacy terms (where personal data)	X	X	X
Security obligations; breach notice within 72 hours	If data	X	X (24 hours where possible)
Deletion within 30 days with certificate	If data	X	X
Audit or independent report right		X	X
Subcontracting approval and flow-down		X	X
Indemnities and liability terms per 5.2		X	X, with data-breach super-cap

Anti-bribery, sanctions, export, forced-labor and Supplier and Partner Standards	X	X	X
Business continuity, transition support, escrow (critical software)		If critical	X
No publicity without consent	X	X	X
Customer or government flow-down terms	If applicable	If applicable	If applicable

G2. Insurance requirements (see 5.2)

Coverage	Minimum
Commercial general liability	1M <i>per occurrence</i> / 2M aggregate
Workers' compensation	As required by law; employer's liability \$500,000
Business auto (on premises or driving)	\$1M
Umbrella (construction and heavy on-site work)	\$5M
Technology errors and omissions (professional liability)	2M (5M for Critical or High)
Cyber liability (Confidential or Restricted data)	2M (5M for Critical or High)
Employment practices liability (staffing agencies)	\$1M
Fidelity or crime (agency staff handling money)	\$1M

G3. Certificate of insurance verification (Procurement at onboarding; AP before paying High-risk vendors, as the Finance and Accounting Manual 6.6 requires):

Check	Yes
Named insured matches the vendor's legal name	☐
Coverage types and limits meet the table	☐
Policy period covers the contract term (renewal tracked)	☐
Simtora is named as additional insured (general liability; umbrella where on premises)	☐
Waiver of subrogation (on-premises work)	☐
30 days' notice of cancellation	☐
Insurer rated A- VII or better	☐

Appendix H – Conflict-of-Interest and Confidentiality Declaration

Sourcing reference: _____ Vendor(s) or category: _____

I confirm that:

1. **Conflicts.** I have read section 2.1 of the Procurement Policy Manual. I have (**check one**):
 - ☐ **no** personal, financial, family or other relationship or interest that could reasonably be seen to affect my judgment about any vendor or bidder in this sourcing; or
 - ☐ **disclosed** below the relationship or interest, and I will take no part in this sourcing until Compliance decides.
2. **Gifts.** I have not accepted, and will not accept, any gift, meal, entertainment, travel or favor from a bidder or potential bidder in this sourcing until the contract is signed. I have reported any offer to Procurement.
3. **Employment.** I am not in discussion about employment or a business role with any bidder.
4. **Confidentiality.** I will keep all offers, prices, scores, evaluation discussions and negotiation positions confidential; I will use them only for this sourcing; I will not share

them with any bidder or anyone who does not need them; and I will store them only in the procurement file or system.

5. **Fairness.** I will evaluate offers only against the published criteria, and I will not contact bidders about this sourcing except through the Procurement contact.

6. **Update.** I will tell Procurement and Compliance immediately if my circumstances change.

Disclosure (if any): _____

Name: _____ Role: _____ Date: _____

Nothing in this declaration limits your right to report concerns to the Ethics Line or the government, or to make other disclosures protected by law (Code of Ethics and Compliance Manual 2.5).

Appendix I – Annual Procurement Calendar

Month	Main activities
January	Annual certification campaign opens (Department Heads confirm compliance); refresh the renewal calendar for the year; supply vendor data to Finance for Forms 1099 (due Jan 31); year-end contract confirmations for the auditors; Q4 vendor scorecards; audit plan approved by Jan 31 (Finance)
February	Annual report on procurement integrity prepared for the Audit Committee; High-tier vendor re-reviews falling due; review of Preferred Vendor List
March	Category strategy reviews with budget owners; framework agreement price benchmarking; sanctions re-screening of High-tier vendors
April	Audited financial statements due Apr 30 ; support for audit inquiries on contracts and commitments; Q1 vendor scorecards; Compliance Committee report
May	Annual review of this manual begins; supply-chain (forced-labor, prohibited-vendor) list refresh with Legal and IT

Appendix J – Glossary

Term	Meaning
Approver	A person with authority under the Finance and Accounting Manual (1.2) to approve a purchase of a given value
Auto-renewal	A contract clause that renews the contract unless notice is given
BAFO	Best and final offer: a last offer from shortlisted bidders on the same terms
Band	One of five levels of purchase value that determines the method and approvals (3.1)
Blanket PO	A PO with a not-to-exceed amount and an expiry date for recurring purchases
Call-off	An individual purchase made under a framework agreement
Certificate of insurance (COI)	Document from the vendor's insurer showing its coverage
Contract Owner	The named person who manages a contract through its life (5.5)
DPA	Data processing agreement setting how a vendor handles personal data
Evaluation team	The employees who score offers in a sourcing (3.6)
Framework agreement	A contract that sets prices and terms for repeated purchases without a fixed quantity (3.9)
Gate criterion	A pass-or-fail requirement that an offer must meet before it is scored
Onboarding tier	The vendor's risk level (High, Medium or Low) that sets the checks needed (4.1)

Appendix K – Revision History

Version	Date	Section	Description of changes	Approved by
1.0	September 30, 2026	All	Original issue	CEO
1.1	October 5, 2026	Introduction	Added "Locations outside the United States"; cross-references to SIM-GLB-001 Part 4	CEO